

NOTES

forming part of the standalone financial statements

- 44.** TM International Logistics Limited ('TMILL') is a 51:26:23 joint venture company between Tata Steel Limited, NYK Holding Europe B.V. ('NYK') and IQ Martrade Holding Und Management GmbH ('IQ'), respectively.

The Board of Directors of the Company, on May 15, 2026, considered and approved the acquisition of 41,40,000 equity shares of face value ₹10/- each (23% equity stake), in TMILL, from IQ for a consideration of ₹335.00 crore, subject to necessary approvals. The Company has, on May 15, 2026, executed Share Purchase Agreement with IQ and TMILL. The transaction is subject to customary conditions precedent, and approvals from regulatory authorities including Competition Commission of India and other stakeholders, as applicable.

On completion of the above transaction, the Joint Venture agreement dated July 26, 2001, between the Company and IQ, and the Deed of Adherence dated November 26, 2009, amongst the Company, TMILL, NYK and IQ will be terminated and the Company will hold 74% equity shares in TMILL and NYK will hold 26% equity shares in TMILL.

- 45.** On November 4, 2025, the Company had signed an Asset Transfer Agreement with Indian Metals & Ferro Alloys Ltd. (IMFA) for the sale of its Ferro Alloy Plant at Jajpur, Odisha. Upon receiving of necessary regulatory approvals, the Company has successfully completed the sale on February 27, 2026 for a base consideration of ₹610 crore (net of GST and excluding working capital). Exceptional item in the statement of profit and loss for the year ended March 31, 2026 includes a gain of ₹322.08 crore on account of this sale.

- 46.** With effect from April 1, 2023, the Ministry of Corporate Affairs (MCA) has made it mandatory for every Company, which uses accounting software for maintaining its books of account, to use only such accounting software which has a feature of recording audit trail of each and every transaction, creating an edit log of each change made in books of account along with the date when such changes were made and ensuring that the audit trail cannot be disabled.

The Company uses multiple accounting software including SAP HANA Enterprise Resource Planning (ERP) software to maintain its books of accounts. Implementation of the above notification to ensure enabling appropriate audit log on financial tables in aforesaid SAP HANA, which have high frequency database operations would lead to a severe system performance degradation thereby adversely impacting business operations and users, besides requiring significant additional storage and supporting infrastructure.

With a view to address the above challenges while ensuring compliance with the MCA notification and mitigate the risks involved therein, the Company has appropriately designed and implemented alternate mitigating controls over direct change at database level.

Further, the audit trail, to the extent maintained in prior year, has been preserved by the Company as per the statutory requirements for record retention.

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47. Disclosure for struck off companies

The following table depicts the details of balances outstanding in respect of transactions undertaken with a company struck-off under section 248 of the Companies Act, 2013:

(₹ crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance as at March 31, 2026	Balance as at March 31, 2025	Relationship with the struck-off Company
BBR (India) Private Limited	Sale of products and rendering of services	0.26	-	Advance from customer
Metecno India Projects Private Limited		-	0.18	
Highway Roadlines Pvt. Ltd.		0.00	-	
Jindal (India) Limited		0.12	-	
Polycab Wires and Cables Private Limited		0.00	0.00	
Bajrang Steel & Alloys Private Limited		-	0.01	
Apex Auto Private Limited		0.02	-	
Andhra Cylinders Pvt Ltd		0.13	0.04	
Creative Constructions & Contractors Private Limited		0.00	0.00	
Kochar Agro Pvt. Ltd.		-	0.25	
S.G. & Co Pvt Ltd		0.60	-	
Bright Steel Castings Pvt. Ltd.		1.25	0.56	
Victoria Auto Private Limited		1.32	0.34	
Agni Fuels Private Limited		-	0.01	
Antarctic Industries Ltd.		0.00	0.00	
Alok Enterprises Private Limited		0.01	0.01	
Sagar Business Pvt. Ltd.		0.21	3.83	
B.G. Shirke Construction Technology Private Limited		0.17	0.17	
Schwing Stetter (India) Pvt. Ltd.		0.04	0.04	
Adarsh Metal Industries Private Limited		0.20	-	Customer
Bansal Industries Private Limited		-	2.73	
Pinacle Airpoint Services Pvt. Ltd.		0.00	0.00	
Elegant Mkt Private Limited*		0.18	0.17	
Harinagar Sugar Mills Limited		0.00	0.00	
Jindal (India) Limited		3.61	-	
Fairdeal Tins Private Limited		0.00	-	
BB Man-Power And Facilities Services Private Limited		0.00	0.00	
Sagar Business Private Limited		0.26	-	
Menkar Energy Solutions Private Limited		1.76	1.76	
Calcutta Carriers Pvt Ltd	Purchase of goods and receiving of services	4.83	10.41	Vendor
Sagar Business Private Limited		1.30	0.01	
Highway Roadlines Pvt. Ltd.		0.34	-	
Advance Valves Private Limited		0.03	-	
Rajdeep Automation Private Limited		0.00	-	
Parikh Inn Private Limited		0.00	-	
K A Industries Pvt. Ltd.		0.11	1.49	
Hostin Services Private Limited		0.10	-	
Jaju Chemicals Private Limited		0.00	-	
Krofta Engineering Limited		0.18	-	
Karunamoyee Trexim Private Limited		0.00	-	
Leo Elevators Private Limited		0.08	-	
MT Industries Pvt. Ltd.		0.29	0.37	
Bearing Sales Corpn Private Limited		0.10	0.02	

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47. Disclosure for struck off companies (Contd.)

(₹ crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance as at March 31, 2026	Balance as at March 31, 2025	Relationship with the struck-off Company
Millenium Impex Private Limited	Purchase of goods and receiving of services	0.00	0.28	Vendor
Dgt Engineers Pvt. Ltd.		0.02	0.01	
Metecno India Projects Private Limited		0.00	0.25	
Sodexo Foods Solutions Limited		0.72	0.72	
Nita Industries Private Limited		0.00	-	
Organic Intermediates Pvt Ltd		0.01	-	
Pyrotech Electronics Private Limited		0.29	-	
Sew-Eurodrive India Private Limited		0.89	-	
BB Man-Power And Facilities Services Private Limited		0.01	1.63	
Sinha Aviation Service Private Limited		0.14	0.14	
Apex Auto Private Limited		0.00	-	Advance from Suppliers
Avanza Epsilon Elektro Private Limited		0.00	-	
Creative Constructions & Contractors Private Limited		0.00	-	
Daewoo India Private Limited		0.00	-	
E.Itec India Power Connection Private Limited		0.00	-	
Millenium Impex Private Limited		0.00	-	
Savita Machine Tools Private Limited		0.01	-	
Nita Industries Private Limited		0.00	-	
Rohini Impex Pvt. Ltd.		0.00	-	
Other Entities ⁽ⁱ⁾	Subscription to equity shares	-	-	Equity shareholder

0.00 represents value less than ₹0.01 crore.

* Refers to companies that were struck off as at March 31, 2025, but have become active during the year ended March 31, 2026.

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47. Disclosure for struck off companies (Contd.)

(i) Details of other struck off entities holding equity shares in the Company is as below:

Name of struck off Company	No. of shares held	Paid-up as at March 31, 2026 (₹)	Paid-up as at March 31, 2025 (₹)
(1) Agro Based Industries Ltd.	1,450	1,450.00	1,450.00
(2) Anand Growth Fund Pvt. Ltd.	1,330	1,330.00	1,330.00
(3) Anileksha Investments Pvt. Ltd.	2,250	2,250.00	2,250.00
(4) Annamallai Finance Limited	150	150.00	150.00
(5) Bejo Sheetal Seeds (Karnataka) Private Limited	750	750.00	750.00
(6) Bhagirathi Protein Ltd	6,500	6,500.00	6,500.00
(7) Bharat Solite Limited	10	10.00	10.00
(8) Burdwan Holdings Pvt Ltd	3,150	3,150.00	3,150.00
(9) Chaityadeep Investments Pvt. Ltd.	2,110	2,110.00	2,110.00
(10) Chanakya Service Station Private Limited	16,500	16,500.00	16,500.00
(11) Dashtina Investments Private Limited	400	400.00	400.00
(12) Desai Holdings Limited	750	750.00	750.00
(13) Dhanastra Investments Limited	13,500	13,500.00	13,500.00
(14) Dinsons (India) Private Limited	3,120	3,120.00	-
(15) Dipy Finstock Pvt. Ltd.	2,000	2,000.00	2,000.00
(16) Fortis Financial Services Limited	250	250.00	250.00
(17) Fortune Investment And Finance India Pvt. Ltd.	750	750.00	750.00
(18) Frontline Corporate Finance Ltd.	1,060	1,060.00	1,060.00
(19) Gagan Trading Co Ltd.	1,690	1,690.00	1,690.00
(20) Hrg Leasing Ltd.	30	30.00	30.00
(21) Goldcrest Jute and Fibre Ltd.	1,800	1,800.00	1,800.00
(22) Kapursco Cold Storage Pvt. Ltd.	300	300.00	300.00
(23) Kirban Sales Pvt. Ltd.	150	150.00	150.00
(24) Krishna Hire Purchase Pvt. Ltd.	1,000	1,000.00	1,000.00

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47. Disclosure for struck off companies (Contd.)

Name of struck off Company	No. of shares held	Paid-up as at March 31, 2026 (₹)	Paid-up as at March 31, 2025 (₹)
(25) Landmark Fin & Invt Consultancy P Ltd.	570	570.00	570.00
(26) Meghna Finance and Investments Private Limited	4,890	4,890.00	4,890.00
(27) Merchant Management System Private Limited	8,800	8,800.00	8,800.00
(28) Midas Touch Securities Pvt. Ltd.	150	150.00	150.00
(29) Modern Holdings Pvt. Ltd.	18,040	18,040.00	18,040.00
(30) Monnet Finance Limited*	1,000	1,000.00	1,000.00
(31) Montgomery Eng. Mkt. Ltd.	1,500	1,500.00	1,500.00
(32) My Shares & Stock Brokers Pvt. Ltd.	2,060	2,060.00	2,060.00
(33) Popular Stock and Share Services Private Limited	320	320.00	320.00
(34) Prahit Investments Pvt Ltd	4,600	4,600.00	4,600.00
(35) Protect Finvest Private Limited	330	330.00	330.00
(36) S S Securities Limited	500	500.00	500.00
(37) Seagull Finance And Investment Company Private Limited	600	600.00	600.00
(38) Shraman Trades & Industries Pvt. Ltd.	1,810	1,810.00	1,810.00
(39) Shree Agencies Pvt Ltd	3,180	3,180.00	3,180.00
(40) Shriram Investment Services Private Limited	1,500	1,500.00	1,500.00
(41) Shilpa Investments and Financials Services Private Limited	13,440	13,440.00	13,440.00
(42) St Helens Nominees India Private Limited	9,350	9,350.00	-
(43) Suhit Investments Pvt Ltd	1,660	1,660.00	500.00
(44) Swapnalok Construction Pvt Ltd	500	500.00	500.00
(45) Swapan Properties Private Limited	500	500.00	500.00
(46) The Calcutta Sales Agency Ltd	6,340	6,340.00	6,340.00
(47) Varun Credit & Real Estate Pvt Ltd	570	570.00	570.00
		1,43,210.00	1,29,580.00

* Refers to companies that were struck off as at March 31, 2025, but have become active during the year ended March 31, 2026.

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48. Details of significant investments in subsidiaries, joint ventures and associates

			(% Direct Holding)		
			Country of Incorporation	As at March 31, 2026	As at March 31, 2025
(a)	Subsidiary companies				
(1)	ABJA Investment Co. Pte Ltd.	Singapore	100.00	100.00	
(2)	Bhushan Steel (Australia) Pty Limited*	Australia	100.00	100.00	
(3)	Bhushan Steel (South) Limited	India	100.00	100.00	
(4)	Creative Port Development Private Limited*	India	51.00	51.00	
(5)	Jamshedpur Football and Sporting Private Limited	India	100.00	100.00	
(6)	Medica TS Hospital Pvt Ltd.	India	100.00	51.00	
(7)	Mohar Exports Services Pvt Ltd	India	33.23	33.23	
(8)	Neelachal Ispat Nigam Limited	India	100.00	99.83	
(9)	Rujuvalika Investments Limited*	India	100.00	100.00	
(10)	Subarnarekha Port Private Limited	India	3.88	3.88	
(11)	T Steel Holdings Pte. Ltd.*	Singapore	100.00	100.00	
(12)	Tata Korf Engineering Services Ltd	India	100.00	100.00	
(13)	Tata Steel Advanced Materials Limited* (formerly Tata Steel Odisha Limited)	India	100.00	100.00	
(14)	Tata Steel Colors Private Limited (formerly Tata BlueScope Steel Private Limited)	India	49.99	-	
(15)	Tata Steel Downstream Products Limited*	India	100.00	100.00	
(16)	Tata Steel Foundation	India	100.00	100.00	
(17)	Tata Steel Support Services Limited (formerly Bhushan Steel (Orissa) Limited)	India	100.00	100.00	
(18)	Tata Steel Technical Services Limited (formerly Bhushan Steel Madhya Bharat Limited)	India	100.00	100.00	
(19)	Tata Steel Utilities and Infrastructure Services Limited*	India	100.00	100.00	
(20)	Tayo Rolls Limited	India	54.91	54.91	
(21)	Thriveni Pellets Private Limited*	India	50.01	-	
(b)	Associate companies				
(1)	Bhushan Capital & Credit Services Private Limited	India	42.58	42.58	
(2)	Jawahar Credit & Holdings Private Limited	India	39.65	39.65	
(3)	Kalinga Aquatics Ltd.	India	30.00	30.00	
(4)	Kumardhubi Fireclay and Silica Works Ltd	India	27.78	27.78	
(5)	Kumardhubi Metal Casting and Engineering Ltd	India	49.31	49.31	
(6)	Malusha Travels Pvt Ltd	India	33.23	33.23	
(7)	Strategic Energy Technology Systems Private Limited	India	25.00	25.00	
(8)	Tata Construction and Projects Ltd.	India	27.19	27.19	
(9)	TP Parivart Limited	India	26.00	26.00	
(10)	TP Vardhaman Surya Limited	India	26.00	26.00	
(11)	TRF Limited	India	34.11	34.11	

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48. Details of significant investments in subsidiaries, joint ventures and associates (Contd.)

			(% Direct Holding)		
			Country of Incorporation	As at March 31, 2026	As at March 31, 2025
(c)	Joint ventures				
(1)	Andal East Coal Company Private Limited		India	33.89	33.89
(2)	Industrial Energy Limited		India	26.00	26.00
(3)	Jamipol Limited		India	7.11	7.11
(4)	mjunction Services Limited		India	50.00	50.00
(5)	Nicco Jubilee Park Limited		India	1.23	1.23
(6)	Tata NYK Shipping Pte Ltd.		Singapore	50.00	50.00
(7)	TM International Logistics Limited		India	51.00	51.00

* Include step-down subsidiaries.

49. Dividend

The dividend declared by the Company is based on profits available for distribution as reported in the standalone financial statements of the Company. On May 15, 2026 the Board of Directors of the Company had proposed a dividend of **₹4.00** per Ordinary share of ₹1 each in respect of the year ended March 31, 2026 subject to the approval of shareholders at the Annual General Meeting. If approved, the dividend would result in a cash outflow of approximately **₹4,993.41** crore.

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number:
304026E/E-300009

sd/-
N. Chandrasekaran
Chairman
DIN: 00121863

sd/-
Noel Naval Tata
Vice-Chairman
DIN: 00024713

sd/-
Deepak Kapoor
Independent Director
DIN: 00162957

sd/-
V. K. Sharma
Independent Director
DIN: 02449088

sd/-
Bharti Gupta Ramola
Independent Director
DIN: 00356188

sd/-
Dr. Shekhar C. Mande
Independent Director
DIN: 10083454

sd/-
Subramanian Vivek
Partner
Membership Number 100332

sd/-
Pramod Agrawal
Independent Director
DIN: 00279727

sd/-
Saurabh Agrawal
Non-Executive Director
DIN: 02144558

sd/-
T. V. Narendran
Chief Executive Officer & Managing Director
DIN: 03083605

sd/-
Koushik Chatterjee
Executive Director & Chief Financial Officer
DIN: 00004989

sd/-
Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer
ACS: 15921

Mumbai, May 15, 2026

INDEPENDENT AUDITOR'S REPORT

To the Members of Tata Steel Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

1. We have audited the accompanying consolidated financial statements of Tata Steel Limited (hereinafter referred to as the "Holding Company") and its subsidiaries (including their joint operations, as applicable) (the Holding Company and its subsidiaries together referred to as "the Group"), its associates and joint ventures [refer Note 1 to the consolidated financial statements], which comprise the Consolidated Balance Sheet as at March 31, 2026, and the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows for the year then ended, and notes to the consolidated financial statements, including material accounting policy information and other explanatory information (hereinafter referred to as "the consolidated financial statements").
2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group, its associates and joint ventures as at March 31, 2026, and consolidated total comprehensive income (comprising of profit and other comprehensive income), consolidated changes in equity and its consolidated cash flows for the year then ended.

Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements" section of our report. We are independent of the Group, its associates and joint ventures in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India in terms of the Code of Ethics issued by the Institute of Chartered Accountants of India and the relevant provisions of the Act, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

4. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Assessment of carrying amount of property, plant and equipment and goodwill pertaining to the cash generating unit (“CGU”) Tata Steel Nederland B.V., a step-down subsidiary of the holding company. [Refer to Note 2 (c) to the consolidated financial statements – “Use of estimates and critical accounting judgements – Impairment”; Note 2(g) and 3(iii) to the consolidated financial statements - “Property, Plant and Equipment”; and Note 2(f) and 5(i) to the consolidated financial statements – “Goodwill”] The CGU of the Group has a carrying amount of ₹40,958.69 crores which primarily includes property, plant and equipment and goodwill of ₹31,876.48 crores and ₹5,341.52 crores as at March 31, 2026, respectively, relating to the above-mentioned step-down subsidiary. The Group carries property, plant and equipment and goodwill at cost less impairment losses, if any, and tests the same for impairment when events or change in circumstances occur which indicate that the recoverable amount of the CGU is less than the carrying amount. The step-down subsidiary faces significant operational and regulatory risks, including ongoing notices and letters from the local environmental agency and Province (statutory body), orders under penalty and uncertainty regarding the timeline for a safe, responsible and controlled shutdown of Coke and Gas Plants together with the successful execution of its decarbonisation strategy and the successful completion of the tailor-made agreement with the Government of the Netherlands, etc. The Group has identified the step-down subsidiary as a separate CGU for the purpose of impairment assessment and the determination of recoverable amount is based on management’s estimates and key assumptions that include: • Cash flow forecast including assumptions on capacity expansion, plans for decarbonisation and possible timelines for shutdown of the Coke and Gas Plants considering the above challenges. • Discount rates • Terminal growth rate • Economic and entity specific factors incorporated in the impairment assessment models. Considering the magnitude of the amounts involved, the sensitivity of the valuation to changes in key assumptions, and involvement of significant management judgment, we considered this area to be a key audit matter.	Our audit procedures included the following: • Obtained an understanding from the management, assessed and tested the design and operating effectiveness of the Group’s key controls over the impairment assessment of property, plant and equipment and goodwill. • Evaluated the appropriateness of the Group’s accounting policy in respect of impairment assessment of property, plant and equipment and goodwill. • Evaluated the Group’s process regarding impairment assessment for the above-mentioned step-down subsidiary by involving auditor’s valuation experts, to assist in assessing the management’s impairment assessment model, underlying assumptions relating to discount rate, terminal value, etc. • Evaluated the cash flow forecasts with the budgets, actual results, other supporting documents, as applicable, and our understanding of the internal and external factors, which also factors management’s assessment of planned shutdown of the Coke and Gas Plants and consideration of management expert’s views in this context. • Evaluated the management expert’s competence, capabilities, independence and objectivity. • Checked the mathematical accuracy of the impairment assessment model. • Assessed the sensitivity of the impairment model and evaluated whether any reasonably foreseeable change in key assumptions could lead to impairment. • Discussed the management’s process, involvement of experts, key assumptions and sensitivity with those charged with governance. • Evaluated the adequacy of the disclosures made in the consolidated financial statements.

Key audit matter	How our audit addressed the key audit matter
Assessment of litigations and related disclosures of contingent liabilities [Refer to Note 2(c) to the consolidated financial statements— “Use of estimates and critical accounting judgements — Provisions and contingent liabilities”, Note 37A to the consolidated financial statements - “Contingencies” and Note 38 to the consolidated financial statements — “Other significant litigations”] As at March 31, 2026, the Group has exposures towards litigations relating to various matters as set out in the aforesaid Notes. Significant management judgement is required by the Group to assess such matters to determine the probability of occurrence of material outflow of economic resources and whether a provision should be recognised or a disclosure should be made. The aforesaid judgement of the respective management of the companies included in the Group is also supported with legal advice in certain cases, as considered appropriate. As the ultimate outcome of the matters are uncertain and the positions taken by the respective management are based on the application of their best judgement, related legal advice including those relating to interpretation of laws/regulations, it is considered as a key audit matter.	Our audit procedures included the following: • Understood from the Group management, assessed and tested the design and operating effectiveness of key controls surrounding assessment of litigations relating to the relevant laws and regulations. • Examined legal expenses and enquired with the Group management about the latest developments and current status of material litigations. • Performed our assessment on a sample basis on the underlying calculations supporting the contingent liabilities/ other significant litigations disclosed in the consolidated financial statements. • Used auditor’s experts/specialists to gain an understanding and to evaluate the disputed tax matters. • Considered external legal opinions, where relevant, obtained by the Group management. • Evaluated Group management’s assessments by understanding precedents set in similar cases and assessed the reliability of the Group management’s past estimates/ judgements. • Evaluated Group management’s assessment around those matters that are not disclosed or not considered as contingent liability, as the probability of material outflow is considered to be remote by the Group management. • Assessed the adequacy of the disclosures in the consolidated financial statements.

Other Information

5. The Holding Company’s Board of Directors is responsible for the other information. The other information comprises the “Board’s Report and Annexures and Management Discussion and Analysis 2025-26” (but does not include the consolidated financial statements and our auditor’s report thereon), which we obtained prior to the date of this auditor’s report, and additional information excluding those referred above that would be included in the Integrated Report (titled as ‘Tata Steel Integrated Report and Annual Accounts 2025-26’), which is expected to be made available to us after that date.

Our opinion on the consolidated financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the

other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor’s report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the additional information, as mentioned above, that would be included in the Integrated Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate action as applicable under the relevant laws and regulations.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

6. The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated financial statements in term of the requirements of the Act that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows, and changes in equity of the Group including its associates and joint ventures in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards specified under Section 133 of the Act. The respective Board of Directors of the companies included in the Group and of its associates and joint ventures are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and of its associates and joint ventures, and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Board of Directors of the Holding Company, as aforesaid.
7. In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group and of its associates and joint ventures are responsible for assessing the ability of the respective companies to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intends to liquidate the respective companies or to cease operations, or has no realistic alternative but to do so.
8. The respective Board of Directors of the companies included in the Group and of its associates and joint ventures are responsible for overseeing the financial reporting process of the respective companies.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

9. Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.
10. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:
 - Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
 - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to consolidated financial statements in place and the operating effectiveness of such controls.
 - Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
 - Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group and its associates and joint ventures to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the

consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and its associates and joint ventures to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
 - Obtain sufficient appropriate audit evidence regarding the financial statements/financial information of the entities or business activities within the Group and its associates and joint ventures to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial information/financial statements of such entities included in the consolidated financial statements/financial information of which we are the independent auditors. For the other entities included in the consolidated financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.
11. We communicate with those charged with governance of the Holding Company and such other entities included in the consolidated financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
 12. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
 13. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated

in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

14. The standalone/consolidated financial statements/financial information of thirteen subsidiaries (including interest in joint operations, as applicable) reflect total assets of INR 1,76,009.03 crores and net assets of INR 1,22,928.09 crores as at March 31, 2026, total revenue of INR 95,914.88 crores, total comprehensive income (comprising of profit/loss and other comprehensive income) of INR (6,098.22) crores and net cash flows amounting to INR (288.00) crores for the year ended on that date, has been considered in the consolidated financial statements. The consolidated financial statements also include the Group's share of total comprehensive income (comprising of profit/loss and other comprehensive income) of INR Nil and INR 48.87 crores for the year ended March 31, 2026 as considered in the consolidated financial statements, in respect of one associate and two joint ventures respectively, whose financial statements/financial information have not been audited by us. The financial statements/financial information of these subsidiaries, associate and joint ventures have been audited by other auditors whose reports have been furnished to us by the Holding Company's management and other auditors, and our opinion on the consolidated financial statements insofar as it relates to the amounts and disclosures included in respect of these subsidiaries, associate and joint ventures and our report in terms of sub-section (3) of Section 143 of the Act including report on Other Information insofar as it relates to the aforesaid subsidiaries, associate and joint ventures, is based on the reports of the other auditors and the procedures performed by us.
15. We did not audit the financial statements/financial information of fifteen subsidiaries, whose financial statements/financial information reflect total assets of INR 1,333.12 crores and net assets of INR (4,079.93) crores as at March 31, 2026, total revenue of INR 24.41 crores, total comprehensive income (comprising of profit/loss and other comprehensive income) of INR (1,070.64) crores and net cash flows amounting to INR (3.60) crores for the year ended on that date, as considered in the consolidated financial statements. The consolidated financial statements also include the Group's share of total comprehensive income (comprising of profit/loss and other comprehensive income) of INR Nil and INR 25.89 crores for the year ended March 31, 2026 as considered in the consolidated financial statements, in respect of two associates and two joint ventures respectively, whose

financial statements/financial information have not been audited by us. The financial statements/financial information of these subsidiaries/associates and joint ventures are unaudited and have been furnished to us by the Holding Company's management, and our opinion on the consolidated financial statements insofar as it relates to the amounts and disclosures included in respect of these subsidiaries, joint ventures and associates and our report in terms of sub-section (3) of Section 143 of the Act including report on Other Information insofar as it relates to the aforesaid subsidiaries, joint ventures and associates, is based solely on such unaudited financial statements/financial information. In our opinion and according to the information and explanations given to us by the management, these financial statements/financial information are not material to the Group.

Our opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and reports of the other auditors and the financial statements/financial information certified by the respective company's management and furnished to us by the Management of the Holding Company.

Report on Other Legal and Regulatory Requirements

16. As required by the Companies (Auditor's Report) Order, 2020 ("CARO 2020"), issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in the Annexure B, a statement on the matters specified in paragraph 3(xx) of CARO 2020.
17. As required by Section 143(3) of the Act, we report, to the extent applicable, that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements.
 - (b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and the reports of the other auditors except for the following instances and the matters stated in paragraph 17(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended):
 - (i) A subsidiary where in the absence of sufficient appropriate audit evidence, we are unable to verify whether the backup of books of account

and other books and papers maintained in electronic mode has been maintained on a daily basis on servers physically located in India during certain reporting period during the year.

- (ii) A joint venture where the back-up of the books of account and other books and papers maintained in electronic mode has not been kept on servers physically located in India on a daily basis up to August 06, 2025, and thereafter kept on every working day other than holidays.
- (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss (including other comprehensive income), the Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows dealt with by this Report are in agreement with the relevant books of account and records maintained for the purpose of preparation of the consolidated financial statements.
- (d) In our opinion, the aforesaid consolidated financial statements comply with the Indian Accounting Standards specified under Section 133 of the Act.
- (e) On the basis of the written representations received from the directors of the Holding Company as on March 31, 2026 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors of its subsidiaries, associates and joint ventures incorporated in India whose audit under Section 143 of the Act has been completed, none of the directors of the Group companies, its associates and joint ventures incorporated in India is disqualified as on March 31, 2026 from being appointed as a director in terms of Section 164(2) of the Act.
- (f) With respect to the maintenance of accounts and other matters connected therewith, reference is made to our remarks in paragraph 17(b) above and paragraph 17(h)(vi) below.
- (g) With respect to the adequacy of internal financial controls with reference to consolidated financial statements of the Holding Company, its subsidiaries, associates and joint ventures incorporated in India and the operating effectiveness of such controls, refer to our separate report in Annexure A.
- (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), in our opinion and to the best of our

information and according to the explanations given to us:

- i. The consolidated financial statements disclose the impact of pending litigations on the consolidated financial position of the Group, its associates and its joint ventures – Refer Notes 37A and 38 to the consolidated financial statements.
- ii. Provision has been made in the consolidated financial statements, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts as at March 31, 2026 – Refer Note 24 to the consolidated financial statements in respect of such items as it relates to the Group, its associates and joint ventures. The Group, its associates and joint ventures did not have any long term derivative contracts as at March 31, 2026 for which there were any material foreseeable losses.
- iii. There has been no delay in transferring amounts required to be transferred to the Investor Education and Protection Fund by the Holding Company and its subsidiaries, associates and joint ventures incorporated in India during the year.
- iv. (a) The respective managements of the Holding Company and its subsidiaries/ joint ventures/associates which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries/ joint ventures/associates respectively that, to the best of their knowledge and belief, other than as disclosed in Notes 8(ii) and 9(iv) to the consolidated financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Holding Company or any of such subsidiaries/ joint ventures/associates to or in any other person(s) or entity(ies), including foreign entities (“Intermediaries”), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Holding Company or any of such subsidiaries/ joint ventures/associates (“Ultimate Beneficiaries”) or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (b) The respective managements of the Holding Company and its subsidiaries/ joint ventures/associates which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries / joint ventures/associates respectively that, to the best of their knowledge and belief, other than as disclosed in the Notes 8(iii) and 9(v) to the consolidated financial statements, no funds have been received by the Holding Company or any of such subsidiaries/ joint ventures/associates from any person(s) or entity(ies), including foreign entities (“Funding Parties”), with the understanding, whether recorded in writing or otherwise, that the Holding Company or any of such subsidiaries/ joint ventures/associates shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (“Ultimate Beneficiaries”) or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (c) Based on the audit procedures, that has been considered reasonable and appropriate in the circumstances, performed by us and those performed by the auditors of the subsidiaries/ joint ventures/associates which are companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our or other auditors’ notice that has caused us or the other auditors to believe that the representations under sub-clause (i) and (ii) of Rule 11(e) contain any material misstatement.
- v. The dividend declared/paid/declared and paid by the Holding Company, its subsidiaries associates and joint ventures incorporated in India during the year is in accordance with Section 123 of the Act to the extent it applies to

declaration/payment/declaration and payment of dividend.

The respective Board of Directors of the Holding Company, its subsidiaries, associates and joint ventures has proposed final dividend for the year, which is subject to the approval of the respective members at their ensuing Annual General Meetings, and is in accordance with Section 123 of the Act, to the extent applicable.

vi. Based on our examination, which included test checks and that performed by the respective auditors of the subsidiaries, associates and joint ventures which are companies incorporated in India whose financial statements have been audited under the Act, the Group, its associates and joint ventures have used accounting software for maintaining their books of account which have a feature of recording audit trail (edit log) facility and that has operated throughout the year for all relevant transactions recorded in the software, except for the following instances:

- (i) at the database level, in case of certain accounting software, the audit trail feature did not operate throughout the year for direct database changes, in the case of the Holding Company, ten subsidiaries and one joint venture and for part of the year in case of one subsidiary and one joint venture;
- (ii) at the application level and database level, in case of certain accounting software, the feature of audit trail (edit log) facility was not enabled throughout the year, in case of three subsidiaries;
- (iii) at the application level, in case of certain accounting software, the audit trail feature did not operate throughout the year in case of one joint venture;

(iv) with respect to certain accounting software of a third party service provider used for maintaining certain records, we are unable to comment on the audit trail (edit log) feature in that accounting software for the period January 01, 2026 to March 31, 2026 in the absence of any information pertaining to audit trail in the independent service auditor's report in case of one subsidiary;

(v) at the database level, in case of certain accounting software, the audit log of modification does not contain the pre-modified values throughout the year in case of three subsidiaries, one associate and three joint ventures.

During the course of performing our procedures and that performed by the respective auditors of the subsidiaries, associates and joint ventures, except for the aforesaid instance of audit trail not maintained where the question of our commenting on whether the audit trail has been tampered with, does not arise, we and the respective auditors of the above referred subsidiaries, associates and joint ventures did not notice any instance of the audit trail feature being tampered with. Further, the audit trail, to the extent maintained in the prior year, has been preserved by the Group, its associates and joint ventures as per the statutory requirements for record retention.

18. Except for managerial remuneration aggregating to INR 0.31 crores in respect of a subsidiary of the Holding Company, the managerial remuneration paid/provided for by the Group, its associates and joint ventures incorporated in India is in accordance with the requisite approvals as mandated by the provisions of Section 197 read with Schedule V to the Act. As stated in Note 53 to the consolidated financial statements, the amount paid/provided by the subsidiary of the Holding Company is subject to approval of shareholders of the subsidiary by way of special resolution in the ensuing annual general meeting of the subsidiary of the Holding Company as required by Section 197 read with Schedule V to the Act.

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number: 304026E/E-300009

Subramanian Vivek
Partner
Membership Number: 100332
UDIN: 26100332ESYIBM3931

Mumbai
May 15, 2026

ANNEXURE A TO INDEPENDENT AUDITOR'S REPORT

Referred to in paragraph 17(g) of the Independent Auditor's Report of even date to the members of Tata Steel Limited on the consolidated financial statements as of and for the year ended March 31, 2026

Report on the Internal Financial Controls with reference to Consolidated Financial Statements under clause (i) of sub-section 3 of Section 143 of the Act

1. In conjunction with our audit of the consolidated financial statements of the company as of and for the year ended March 31, 2026, we have audited the internal financial controls with reference to financial statements of Tata Steel Limited (hereinafter referred to as "the Holding Company") and its subsidiaries, its associates and joint ventures, which are companies incorporated in India, as of that date. Reporting under clause (i) of sub section 3 of Section 143 of the Act in respect of the adequacy of the internal financial controls with reference to financial statements is not applicable to one associate incorporated in India namely Strategic Energy Technology Systems Private Limited, pursuant to Ministry of Corporate Affairs Notification GSR 583(E) dated June 13, 2017.

Management's Responsibility for Internal Financial Controls

2. The respective Board of Directors of the Holding Company, its subsidiaries, its associates and joint ventures, to whom reporting under clause (i) of sub section 3 of Section 143 of the Act in respect of the adequacy of the internal financial controls with reference to financial statements is applicable, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting ("the Guidance Note") issued by the Institute of Chartered Accountants of India ("ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

3. Our responsibility is to express an opinion on the company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note issued by the ICAI and the Standards on Auditing specified under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of internal financial controls and both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements was established and maintained and if such controls operated effectively in all material respects.
4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.
5. We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the 'Other Matter' paragraph below is sufficient and appropriate to provide a basis for our audit opinion on the company's internal financial controls system with reference to financial statements.

Meaning of Internal Financial Controls with reference to financial statements

6. A company's internal financial control with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to financial statements

7. Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error

or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial control with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion, the Holding Company, its subsidiaries, its associates and joint ventures, which are companies incorporated in India, have, in all material respects, an adequate internal financial controls system with reference to financial statements and such internal financial controls with reference to financial statements were operating effectively as at March 31, 2026, based on the internal control over financial reporting criteria established by the company considering the essential components of internal control stated in the Guidance Note issued by the ICAI.

Other Matter

9. Our report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to financial statements insofar as it relates to five subsidiaries and one joint venture, which are companies incorporated in India, is based on the corresponding reports of the auditors of such companies incorporated in India. Our opinion is not modified in respect of this matter.

For **Price Waterhouse & Co Chartered Accountants LLP**

Firm Registration Number: 304026E/E-300009

Subramanian Vivek

Partner

Membership Number: 100332

UDIN: 26100332ESYIBM3931

Mumbai

May 15, 2026

ANNEXURE B TO INDEPENDENT AUDITORS' REPORT

Referred to in paragraph 16 of the Independent Auditors' Report of even date to the members of Tata Steel Limited on the Consolidated Financial Statements as of and for the year ended March 31, 2026

We report that the following qualifications or adverse remarks were included in the CARO 2020 reports issued by us in respect of the standalone financial statements of the Holding Company and certain subsidiaries and joint ventures and by the other auditors in their CARO 2020 reports on the financial statements of the respective companies included in the Consolidated Financial Statements:

S. No.	Name of the Company	CIN	Relationship with the Holding Company (Holding Company/Subsidiary/ Associate/Joint Venture)	Clause number of the CARO report which contains the qualification or adverse remarks
1.	Tata Steel Limited	L27100MH1907PLC000260	Holding Company	i (c), iii (c), iii(d), vii (a)
2.	Neelachal Ispat Nigam Limited	U27109OR1982PLC001050	Subsidiary	vii (a)
3.	Tata Steel Utilities and Infrastructure Services Limited	U45200JH2003PLC010315	Subsidiary	i (c), vii (a)
4.	Tata Pigments Limited	U24100JH1983PLC001836	Subsidiary	vii (a)
5.	Naba Diganta Water Management Limited	U93010WB2008PLC121573	Joint Venture	i (c)
6.	Jamipol Limited	U24111JH1995PLC009020	Joint venture	i (c), vii (a)
7.	Medica TS Hospital Private Limited	U85110OR2014PTC018162	Subsidiary	i (c), vii (a)
8.	Adityapur Toll Bridge Company Limited	U45201JH1996PLC007124	Subsidiary	vii (a)
9.	Tata Steel Technical Services Limited	U93000DL2010PLC202026	Subsidiary	vii (a)
10.	Tata Steel Support Services Limited	U27100DL2010PLC202028	Subsidiary	vii (a)
11.	Tata Steel Downstream Products Limited	U27109WB1997PLC084005	Subsidiary	i (c), vii(a)
12.	Thriveni Pellets Private Limited	U13209OR2017PTC027900	Subsidiary	ix (d), xvii
13.	Jamshedpur Football and Sporting Private Limited	U92490MH2017PTC297047	Subsidiary	vii(a), xvii, xix

The statutory audit report of the following subsidiaries, joint ventures and associates has not been issued until the date of this report. Accordingly, qualifications or adverse remarks, if any, have not been included under this clause.

S. No.	Name of the Company	CIN	Relationship with the Holding Company (Subsidiary/Associate/Joint Venture)
1.	Creative Port Development Private Limited	U63032WB2006PTC246176	Subsidiary
2.	Subarnarekha Port Private Limited	U45203OR2008PTC010351	Susidiary
3.	Haldia Water Management Limited	U74140WB2008PLC126534	Subsidiary
4.	Tata Steel Advanced Materials Limited	U74110MH2012PLC232512	Subsidiary
5.	Industrial Energy Limited	U74999MH2007PLC167623	Joint venture
6.	Rujuvalika Investments Limited	U67120MH1988PLC049872	Subsidiary
7.	Tata Steel TABB Limited	U28999MH2022PLC383152	Subsidiary
8.	Bhushan Steel (South) Limited	U27100DL2010PLC202027	Subsidiary
9.	Mohar Export Services Private Limited	U51900MH1988PTC049518	Subsidiary
10.	Malusha Travels Private Limited	U63040MH1988PTC049514	Associate

For **Price Waterhouse & Co Chartered Accountants LLP**

Firm Registration Number: 304026E/E-300009

Subramanian Vivek

Partner

Membership Number: 100332

UDIN: 26100332ESYIBM3931

Mumbai

May 15, 2026

CONSOLIDATED BALANCE SHEET

as at March 31, 2026

	Note	Page	As at March 31, 2026	(₹ crore) As at March 31, 2025
Assets				
I Non-current assets				
(a) Property, plant and equipment	3	F164	1,49,878.21	1,25,215.17
(b) Capital work-in-progress	3	F164	27,510.29	40,601.88
(c) Right-of-use assets	4	F170	10,072.66	8,087.95
(d) Goodwill	5	F173	7,533.80	5,958.53
(e) Other intangible assets	6	F174	12,423.46	11,652.41
(f) Intangible assets under development	6	F174	986.42	1,020.47
(g) Equity accounted investments	7	F177	2,943.47	2,970.86
(h) Financial assets				
(i) Investments	8	F179	3,141.84	2,780.60
(ii) Loans	9	F181	126.20	114.66
(iii) Derivative assets			703.85	0.05
(iv) Other financial assets	10	F183	828.59	1,662.34
(i) Retirement benefit assets	11	F185	86.38	12.67
(j) Non-current tax assets			3,852.00	3,824.52
(k) Deferred tax assets	12	F186	4,739.49	3,936.22
(l) Other assets	13	F189	3,907.28	3,164.93
Total non-current assets			2,28,733.94	2,11,003.26
II Current assets				
(a) Inventories	14	F190	47,249.22	44,589.94
(b) Financial assets				
(i) Investments	8	F179	1,003.54	442.65
(ii) Trade receivables	15	F191	4,916.89	5,260.06
(iii) Cash and cash equivalents	16	F192	8,884.95	9,604.96
(iv) Other balances with banks	17	F193	1,172.58	2,042.02
(v) Loans	9	F181	3.35	4.98
(vi) Derivative assets			961.47	370.50
(vii) Other financial assets	10	F183	2,396.50	1,456.14
(c) Retirement benefit assets	11	F185	-	2.33
(d) Current tax assets			76.28	79.52
(e) Other assets	13	F189	5,600.33	4,538.44
Total current assets			72,265.11	68,391.54
III Assets held for sale	18	F193	255.06	-
Total assets			3,01,254.11	2,79,394.80

CONSOLIDATED BALANCE SHEET (CONTD.)

as at March 31, 2026

	Note	Page	As at March 31, 2026	As at March 31, 2025
Equity and liabilities				
IV Equity				
(a) Equity share capital	19	F194	1,247.44	1,247.44
(b) Other equity	20	F197	1,00,920.21	89,922.19
Equity attributable to owners of the Company			1,02,167.65	91,169.63
(c) Non-controlling interests	21	F202	1,612.80	183.15
Total equity			1,03,780.45	91,352.78
V Non-current liabilities				
(a) Financial liabilities				
(i) Borrowings	22	F204	63,753.67	68,551.81
(ii) Lease liabilities			6,232.99	4,832.71
(iii) Derivative liabilities			-	206.38
(iv) Other financial liabilities	23	F211	1,262.62	1,294.17
(b) Provisions	24	F211	5,989.63	5,806.50
(c) Retirement benefit obligations	11	F185	3,289.63	3,272.01
(d) Deferred income	25	F213	1,598.57	764.91
(e) Deferred tax liabilities	12	F186	15,332.24	14,430.15
(f) Other liabilities	26	F214	3,096.67	2,789.83
Total non-current liabilities			1,00,556.02	1,01,948.47
VI Current liabilities				
(a) Financial liabilities				
(i) Borrowings	22	F204	21,202.72	20,412.00
(ii) Lease liabilities			1,192.30	1,004.53
(iii) Trade payables	27	F214		
(a) Total outstanding dues of micro and small enterprises			1,898.89	1,510.71
(b) Total outstanding dues of creditors other than micro and small enterprises			32,613.49	27,465.15
(c) Acceptances			297.76	338.52
(iv) Derivative liabilities			260.71	391.18
(v) Other financial liabilities	23	F211	17,509.83	15,820.51
(b) Provisions	24	F211	6,048.20	3,888.29
(c) Retirement benefit obligations	11	F185	148.63	154.62
(d) Deferred income	25	F213	88.09	30.71
(e) Current tax liabilities			2,470.72	1,775.52
(f) Other liabilities	26	F214	13,186.30	13,301.81
Total current liabilities			96,917.64	86,093.55
Total liabilities			1,97,473.66	1,88,042.02
Total equity and liabilities			3,01,254.11	2,79,394.80
Notes forming part of the consolidated financial statements	1-55			

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number:
304026E/E-300009

sd/-
N. Chandrasekaran
Chairman
DIN: 00121863

sd/-
Noel Naval Tata
Vice-Chairman
DIN: 00024713

sd/-
Deepak Kapoor
Independent Director
DIN: 00162957

sd/-
V. K. Sharma
Independent Director
DIN: 02449088

sd/-
Bharti Gupta Ramola
Independent Director
DIN: 00356188

sd/-
Dr. Shekhar C. Mande
Independent Director
DIN: 10083454

sd/-
Subramanian Vivek
Partner
Membership Number 100332

sd/-
Pramod Agrawal
Independent
Director
DIN: 00279727

sd/-
Saurabh Agrawal
Non-Executive
Director
DIN: 02144558

sd/-
T. V. Narendran
Chief Executive Officer
& Managing Director
DIN: 03083605

sd/-
Koushik Chatterjee
Executive Director
& Chief Financial Officer
DIN: 00004989

sd/-
Parvatheesam Kanchinadham
Company Secretary and
Chief Legal Officer
ACS: 15921

Mumbai, May 15, 2026

CONSOLIDATED STATEMENT OF PROFIT AND LOSS

for the year ended March 31, 2026

					(₹ crore)
		Note	Page	Year ended March 31, 2026	Year ended March 31, 2025
I	Revenue from operations	28	F216	2,32,139.94	2,18,542.51
II	Other income	29	F217	1,401.78	1,540.53
III	Total income			2,33,541.72	2,20,083.04
IV	Expenses:				
	(a) Cost of materials consumed			74,468.93	77,079.62
	(b) Purchases of stock-in-trade			18,159.14	18,017.68
	(c) Changes in inventories of finished and semi-finished goods, stock-in-trade and work-in-progress			989.62	(96.65)
	(d) Employee benefits expense	30	F217	25,998.98	24,888.99
	(e) Finance costs	31	F218	7,167.06	7,340.95
	(f) Depreciation and amortisation expense	32	F218	11,954.51	10,421.33
	(g) Other expenses	33	F218	79,139.21	74,699.99
				2,17,877.45	2,12,351.91
	Less: Expenditure (other than finance cost) transferred to capital account			968.38	1,345.57
	Total expenses			2,16,909.07	2,11,006.34
V	Share of profit/(loss) of joint ventures and associates			368.50	190.81
VI	Profit/(loss) before exceptional items and tax (III-IV+V)			17,001.15	9,267.51
VII	Exceptional items:	34	F219		
	(a) Profit/(loss) on sale of subsidiaries/non-current investments/business undertakings/non-current assets			308.35	54.84
	(b) Provision for impairment of non-current assets			(323.77)	(119.18)
	(c) Statutory impact of new labour codes			(85.37)	-
	(d) Restructuring, redundancy and other provisions (net)			(1,858.47)	(633.95)
	(e) Contribution to electoral trusts			-	(173.11)
	(f) Fair value gain/(loss) on non-current investments (net)			926.80	16.76
	Total exceptional items			(1,032.46)	(854.64)
VIII	Profit/(loss) before tax (VI+VII)			15,968.69	8,412.87
IX	Tax expense:	12	F186		
	(a) Current tax			5,334.63	3,563.77
	(b) Current tax in relation to earlier years			(73.26)	(7.79)
	(c) Deferred tax			(178.50)	1,683.11
	Total tax expense			5,082.87	5,239.09
X	Profit/(loss) for the year (VIII-IX)			10,885.82	3,173.78

CONSOLIDATED STATEMENT OF PROFIT AND LOSS (CONTD.)

for the year ended March 31, 2026

	Note	Page	Year ended March 31, 2026	(₹ crore) Year ended March 31, 2025
XI Other comprehensive income				
A. (i) Items that will not be reclassified to profit and loss:				
(a) Remeasurement gain/(loss) on post-employment defined benefit plans			442.76	(74.07)
(b) Fair value changes of investments in equity shares			18.44	(104.78)
(c) Share of equity accounted investees			0.88	(0.60)
(ii) Income tax on items that will not be reclassified to profit and loss			(107.50)	(6.22)
B. (i) Items that will be reclassified to profit and loss:				
(a) Foreign currency translation differences			4,785.85	438.24
(b) Fair value changes of cash flow hedges			384.79	(15.60)
(c) Share of equity accounted investees			19.67	10.08
(ii) Income tax on items that will be reclassified to profit and loss			(52.78)	26.25
Total other comprehensive income for the year			5,492.11	273.30
XII Total comprehensive income for the year (X+XI)			16,377.93	3,447.08
XIII Profit/(loss) for the year attributable to:				
Owners of the Company			10,793.87	3,420.51
Non-controlling interests			91.95	(246.73)
			10,885.82	3,173.78
XIV Total comprehensive income for the year attributable to:				
Owners of the Company			16,150.18	3,632.78
Non-controlling interests			227.75	(185.70)
			16,377.93	3,447.08
XV Earnings per share	35	F220		
Basic (₹)			8.65	2.74
Diluted (₹)			8.65	2.74
Notes forming part of the consolidated financial statements	1-55			

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number:
304026E/E-300009

sd/-
N. Chandrasekaran
Chairman
DIN: 00121863

sd/-
Noel Naval Tata
Vice-Chairman
DIN: 00024713

sd/-
Deepak Kapoor
Independent Director
DIN: 00162957

sd/-
V. K. Sharma
Independent Director
DIN: 02449088

sd/-
Bharti Gupta Ramola
Independent Director
DIN: 00356188

sd/-
Dr. Shekhar C. Mande
Independent Director
DIN: 10083454

sd/-
Subramanian Vivek
Partner
Membership Number 100332

sd/-
Pramod Agrawal
Independent
Director
DIN: 00279727

sd/-
Saurabh Agrawal
Non-Executive
Director
DIN: 02144558

sd/-
T. V. Narendran
Chief Executive Officer
& Managing Director
DIN: 03083605

sd/-
Koushik Chatterjee
Executive Director
& Chief Financial Officer
DIN: 00004989

sd/-
Parvatheesam Kanchinadham
Company Secretary and
Chief Legal Officer
ACS: 15921

Mumbai, May 15, 2026

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended March 31, 2026

A. Equity share capital

(₹ crore)		
Balance as at April 1, 2025	Changes during the year	Balance as at March 31, 2026
1,247.44	-	1,247.44

(₹ crore)		
Balance as at April 1, 2024	Changes during the year	Balance as at March 31, 2025
1,247.44	-	1,247.44

B. Other equity

(₹ crore)						
	Retained earnings [refer note 20A, page F197]	Items of other comprehensive income [refer note 20B, page F197]	Other consolidated reserves [refer note 20C, page F198]	Other equity attributable to the owners of the Company	Non- controlling interests	Total
Balance as at April 1, 2025	33,698.53	6,971.74	49,251.92	89,922.19	183.15	90,105.34
Profit/(loss) for the year	10,793.87	-	-	10,793.87	91.95	10,885.82
Other comprehensive income for the year	338.63	5,017.68	-	5,356.31	135.80	5,492.11
Total comprehensive income for the year	11,132.50	5,017.68	-	16,150.18	227.75	16,377.93
Dividend ⁽ⁱ⁾	(4,489.87)	-	-	(4,489.87)	-	(4,489.87)
Capital contribution	61.83	-	-	61.83	-	61.83
Transfers within equity	(4.07)	-	4.07	-	-	-
Additions relating to acquisitions	-	-	-	-	503.69	503.69
Disposal of group undertakings	-	-	-	-	1.66	1.66
Adjustment for changes in ownership interests	(724.12)	-	-	(724.12)	696.55	(27.57)
Balance as at March 31, 2026	39,674.80	11,989.42	49,255.99	1,00,920.21	1,612.80	1,02,533.01

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY (CONTD.)

for the year ended March 31, 2026

(₹ crore)

	Retained earnings [refer note 20A, page F197]	Items of other comprehensive income [refer note 20B, page F197]	Other consolidated reserves [refer note 20C, page F198]	Other equity attributable to the owners of the Company	Non-controlling interests	Total
Balance as at April 1, 2024	34,815.73	6,708.98	49,263.61	90,788.32	396.98	91,185.30
Profit/(loss) for the year	3,420.51	-	-	3,420.51	(246.73)	3,173.78
Other comprehensive income for the year	(50.49)	262.76	-	212.27	61.03	273.30
Total comprehensive income for the year	3,370.02	262.76	-	3,632.78	(185.70)	3,447.08
Dividend ⁽ⁱ⁾	(4,489.87)	-	-	(4,489.87)	(0.59)	(4,490.46)
Transfers within equity	(1.08)	-	1.08	-	-	-
Adjustment for changes in ownership interests	3.73	-	(12.75)	(9.02)	(25.82)	(34.84)
Other movements within equity	-	-	(0.02)	(0.02)	(1.72)	(1.74)
Balance as at March 31, 2025	33,698.53	6,971.74	49,251.92	89,922.19	183.15	90,105.34

- (i) Dividend paid during the year ended March 31, 2026 is **₹3.60** (March 31, 2025: ₹3.60) per Ordinary Share of (face value ₹1 each, fully paid up).

C. Notes forming part of the consolidated financial statements

Note 1-55

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number:
304026E/E-300009

sd/-
N. Chandrasekaran
Chairman
DIN: 00121863

sd/-
Noel Naval Tata
Vice-Chairman
DIN: 00024713

sd/-
Deepak Kapoor
Independent Director
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V. K. Sharma
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Bharti Gupta Ramola
Independent Director
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Dr. Shekhar C. Mande
Independent Director
DIN: 10083454

sd/-
Subramanian Vivek
Partner
Membership Number 100332

sd/-
Pramod Agrawal
Independent Director
DIN: 00279727

sd/-
Saurabh Agrawal
Non-Executive Director
DIN: 02144558

sd/-
T. V. Narendran
Chief Executive Officer & Managing Director
DIN: 03083605

sd/-
Koushik Chatterjee
Executive Director & Chief Financial Officer
DIN: 00004989

sd/-
Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer
ACS: 15921

Mumbai, May 15, 2026

CONSOLIDATED STATEMENT OF CASH FLOWS

for the year ended March 31, 2026

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
(A) Cash flows from operating activities:		
Profit/(Loss) before tax	15,968.69	8,412.87
Adjustments for:		
Depreciation and amortisation expense	11,954.51	10,421.33
Dividend income	(106.76)	(71.41)
(Gain)/loss on sale of property, plant and equipment including intangible assets (net of loss on assets scrapped/written off)	(61.17)	(225.98)
Exceptional (income)/expenses	1,032.46	854.64
Interest income and income from current investments	(906.49)	(1,037.18)
Finance costs	7,167.06	7,340.95
Foreign exchange (gain)/loss	(298.19)	(15.85)
Share of profit or loss of joint ventures and associates	(368.50)	(190.81)
Other non-cash items	(162.87)	(1,559.54)
	18,250.05	15,516.15
Operating profit before changes in non-current/current assets and liabilities	34,218.74	23,929.02
Adjustments for:		
Non-current/current financial and other assets	(446.47)	1,137.18
Inventories	1,290.06	4,775.95
Non-current/current financial and other liabilities/provisions	4,598.69	(3,706.11)
	5,442.28	2,207.02
Cash generated from operations	39,661.02	26,136.04
Income taxes paid (net of refund)	(4,596.56)	(2,998.46)
Net cash from/(used in) operating activities	35,064.46	23,137.58
(B) Cash flows from investing activities:		
Purchase of capital assets	(14,559.05)	(15,670.52)
Grant received on acquisition of property, plant and equipment	533.30	-
Sale of capital assets	862.76	513.95
Advance received against sale of property, plant and equipment	4.60	750.00
Purchase of non-current investments	(254.69)	(392.80)
Sale of non-current investments	19.86	22.75
(Purchase)/sale of current investments (net)	(298.24)	531.20
Loans given	(32.07)	(2.45)
Repayment of loans given	43.74	-
Principal receipts under sublease	10.07	1.97
Fixed/restricted deposits placed with banks	(1,147.14)	(951.91)
Fixed/restricted deposits realised from banks	1,089.57	467.32
Interest received	649.52	616.38
Dividend received from associates and joint ventures	300.90	222.10
Dividend received from others	106.76	71.41
Acquisition of subsidiaries/undertakings ⁽ⁱ⁾	(2,845.91)	(6.00)
Sale of subsidiaries/undertakings ⁽ⁱⁱ⁾	610.71	28.10
Net cash from/(used in) investing activities	(14,905.31)	(13,798.50)

CONSOLIDATED STATEMENT OF CASH FLOWS (CONTD.)

for the year ended March 31, 2026

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
(C) Cash flows from financing activities:		
Proceeds from long-term borrowings (net of issue expenses)	12,092.34	23,893.04
Repayment of long-term borrowings	(23,896.78)	(16,078.62)
Proceeds/(repayment) of short-term borrowings (net)	3,861.16	(1,518.09)
Principal Payment of lease liabilities	(1,162.14)	(971.38)
Acquisition of additional stake in subsidiaries	(19.69)	(30.03)
Amount received/(paid) on utilisation/cancellation of derivatives	293.41	311.68
Interest paid	(8,065.55)	(8,119.17)
Dividend paid	(4,489.87)	(4,489.87)
Net cash from/(used in) financing activities	(21,387.12)	(7,002.44)
Net increase/(decrease) in cash or cash equivalents	(1,227.97)	2,336.64
Opening cash and cash equivalents (refer note 16, page F192)	9,604.96	7,080.84
Effect of exchange rate on translation of foreign currency cash and cash equivalents	507.96	187.48
Closing cash and cash equivalents (refer note 16, page F192)	8,884.95	9,604.96

- (i) During the year ended 31.03.2025, ₹6.00 crore was paid in respect of deferred consideration on acquisition of a subsidiary.
- (ii) During the year ended 31.03.2025, ₹28.10 crore was received in respect of deferred consideration on disposal of an undertaking.
- (iii) Significant non-cash movements in borrowings and lease liabilities during the year include:
- exchange loss (including translation) **₹3,535.70** crore (2024-25: ₹930.58 crore).
 - amortisation/effective interest rate adjustments for upfront fees and others **₹244.75** crore (2024-25: ₹251.29 crore).
 - adjustment to lease liabilities (including impact of acquisition and sale of subsidiaries), increase **₹2,320.84** crore (2024-25: ₹1,283.69 crore).
 - adjustment in borrowings due to acquisition and sale of subsidiaries of subsidiaries, increase **₹647.48** crore (2024-25: Nil).
- (iv) During the year ended 31.03.2025, other non-cash items represented reversal of provision for claims no longer required and provision for write down of inventory to net realisable value.

C. Notes forming part of consolidated financial statements

Note 1-55

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number:
304026E/E-300009

sd/-
N. Chandrasekaran
Chairman
DIN: 00121863

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Noel Naval Tata
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Partner
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DIN: 00004989

sd/-
Parvatheesam Kanchinadham
Company Secretary and
Chief Legal Officer
ACS: 15921

Mumbai, May 15, 2026

NOTES

forming part of the consolidated financial statements

1. Company Information

Tata Steel Limited ("the Company") is a public limited Company incorporated in India with its registered office in Bombay House 24, Homi Modi Street Fort, Mumbai-400 001, Maharashtra, India. The Company is listed on the BSE Limited (BSE) and the National Stock Exchange of India Limited (NSE).

The Company and its subsidiaries (collectively referred to as 'the Group') have presence across the entire value chain of steel manufacturing from mining and processing iron ore and coal to producing and distributing finished products. The Group offers a broad range of steel products including a portfolio of high value-added downstream products such as hot rolled, cold rolled, coated steel, rebars, wire rods, tubes and wires.

The consolidated financial statements as at March 31, 2026 present the financial position of the Group as well as its interests in associate companies and joint arrangements. The list of entities consolidated is provided in note 55, page F267.

The presentation currency of the Group is Indian Rupee ("₹") and all the values are rounded off to the nearest two decimal places, unless other wise indicated.

As on March 31, 2026, Tata Sons Private Limited owns 31.76% of the Ordinary Shares of the Company, and has the ability to influence the Group's operations.

The consolidated financial statements for the year ended March 31, 2026 were approved by the Board of Directors and authorised for issue on May 15, 2026.

2. Material accounting policies

The material accounting policies applied by the Group in the preparation of its consolidated financial statements are listed below. Such accounting policies have been applied consistently to all the periods presented in these consolidated financial statements, unless otherwise indicated.

(a) Statement of compliance

The consolidated financial statements have been prepared in accordance with the Indian Accounting Standards (referred to as "Ind AS") prescribed under section 133 of the Companies Act, 2013 read with Companies (Indian Accounting Standards) Rules, as amended from time to time and other relevant provisions of the Act.

(b) Basis of preparation

The consolidated financial statements have been prepared under the historical cost convention with the exception of certain assets and liabilities that are required to be carried at fair value by Ind AS.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

All assets and liabilities have been classified as current and non-current as per the Group's normal operating cycle which is based on the nature of businesses and the time elapsed between deployment of resources and the realisation of cash and cash equivalents. The Group has considered an operating cycle of 12 months.

(c) Use of estimates and critical accounting judgements

In the preparation of the consolidated financial statements, the Group makes judgements in the application of accounting policies; and estimates and assumptions which affects the carrying values of assets and liabilities that are not readily apparent from other sources.

The estimates and associated assumptions are based on historical experience, and other factors that are considered to be relevant. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and future periods affected.

The Group uses the following critical accounting estimates and judgements in preparation of its consolidated financial statements.

Impairment

The Group estimates the recoverable value of the cash generating unit (CGU) based on future cash flows after considering current economic conditions and trends, estimated future operating results and growth rates, anticipated future economic and regulatory conditions and the impact of climate change which may result in a change of current production process given the decarbonisation plan of the Group. The estimated cash flows are developed using internal forecasts. The cash

NOTES

forming part of the consolidated financial statements

2. Material accounting policies (Contd.)

flows are discounted using a suitable discount rate in order to calculate the present value. Further details of the Group's impairment review and key assumptions are set out in note 3, page F164, note 4, page F170 note 5, page F173 and note 6, page F174.

Impairment of financial assets (other than subsequent measurement at fair value)

Measurement of impairment of financial assets require use of estimates and judgements, which have been explained in the note on financial instruments under impairment of financial assets (refer note 2(n)), page F157.

Useful lives of property, plant and equipment, right-of-use and intangible assets

The Group reviews the useful life of property, plant and equipment, right-of-use assets and intangible assets at the end of each reporting period. This reassessment may result in change in depreciation and amortisation expense in future periods. The policy has been detailed out in note 2(g), page F153, note 2(l), page F156 and note 2(m), page F156.

Valuation of deferred tax assets

The Group assesses the recoverability of deferred tax assets based on future taxable income projections, which are uncertain and may be subject to changes over time. Judgement is required to assess the impact of such changes on the measurement of these assets and the time frame for their utilisation. The Group reviews the carrying amount of deferred tax assets at the end of each reporting period. The policy has been detailed in note 2(t), page F161 and its further information are set out in note 12, page F186.

Provisions and contingent liabilities

A provision is recognised when the Group has a present obligation, legal or constructive, as a result of past events and it is probable that outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. They include provisions on decommissioning, site restoration and environmental provisions as well, which may change where changes in estimated reserves affect expectations about the timing or cost of these activities. All provisions are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

The Group uses significant judgements to assess contingent liabilities. Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group or a present obligation that arises from past event where it is either not probable that an outflow of resources will be utilised to settle the obligation or a reliable estimate of the amount cannot be made. Contingent assets are neither recognised nor disclosed in the consolidated financial statements. Further details are set out in note 24, page F211 and note 37(A), page F232.

Fair value measurements of financial instruments

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including Discounted Cash Flow Model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing the fair values. Judgements include consideration of inputs such as liquidity risks, credit risks and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments. Further details are set out in note 42, page F248.

Leases

The Group evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116 "Leases". Identification of a lease requires significant judgement in assessing the terms and conditions of the arrangement including lease term, anticipated renewals and the applicable discount rate.

The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Group uses incremental borrowing rate.

Retirement benefit obligations and assets

The Group's retirement benefit obligations and assets are subject to a number of assumptions including discount/interest rates, as applicable, inflation, salary growth and mortality rate. Significant assumptions are required when setting these criteria and a change in

NOTES

forming part of the consolidated financial statements

2. Material accounting policies (Contd.)

these assumptions would have a significant impact on the amount recorded in the Group's balance sheet and the consolidated statement of profit and loss. The Group sets these assumptions based on previous experience and third party actuarial advice. The assumptions are reviewed annually and adjusted following actuarial and experience changes. Further details on the Group's retirement benefit obligations and assets, including key assumptions are set out in note 36, page F220.

Allocation of consideration over the fair value of assets and liabilities acquired in a business combination

Assets and liabilities acquired pursuant to business combination are stated at the fair values determined as on the date of acquisition. The carrying values of assets and liabilities acquired are determined based on an estimate of valuation carried out by independent professional valuers appointed by the Group. The values are assessed based on the technical estimates of useful lives of tangible assets and benefits expected from the use of intangible assets. Other assets and liabilities are recognised at values that are expected to be realised or settled respectively.

(d) Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and entities controlled by the Company i.e. its subsidiaries. It also includes the Group's share of profits, net assets and retained post acquisition reserves of joint arrangements and associates that are consolidated using the equity or proportionate method of consolidation, as applicable.

Control is achieved when the Company is exposed to, or has rights to the variable returns of the entity and the ability to affect those returns through its power to direct the relevant activities of the entity.

Associates are those companies over which the Company has the ability to exercise significant influence on the financial and operating policy decisions, which it does not control. Generally, significant influence is presumed to exist when the company holds more than 20% of the voting rights. Joint arrangements, which include joint ventures and joint operations, are those over whose activities the Company has joint control, typically under a contractual arrangement. In joint ventures, the Group

exercises joint control and has rights to the net assets of the arrangements. The investment is accounted for under the equity method and therefore recognised at cost at the date of acquisition and subsequently adjusted for the Group's share in undistributed earnings or losses since acquisition, less any impairment incurred. When the Group's share of losses exceeds the carrying value of such investments, the carrying value is reduced to Nil and recognition of future losses is discontinued, except to the extent that the Group has incurred obligation in respect of the associate/joint venture.

The results of subsidiaries, joint arrangements and associates acquired or disposed off during the year are included in the consolidated statement of profit and loss from the effective date of acquisition or up to the effective date of disposal, as appropriate.

Intra-group transactions, balances, income and expenses are eliminated on consolidation.

Non-controlling interests represent the portion of profit or loss and net assets not held by the Group and are presented separately in the consolidated financial statements.

(e) Business combinations

Acquisition of subsidiaries and businesses are accounted for using the acquisition method. The consideration transferred in each business combination is measured at the aggregate of the acquisition date fair values of assets transferred, liabilities incurred by the Group to the former owners of the acquiree and equity interests issued by the Group in exchange for control of the acquiree.

Acquisition related costs are recognised in the consolidated statement of profit and loss.

Goodwill arising on acquisition is recognised as an asset and measured at cost, being the excess of the consideration transferred in the business combination over the Group's interest in the net fair value of the identifiable assets acquired, liabilities assumed and contingent liabilities recognised, as applicable. Where the fair value of the identifiable assets and liabilities exceeds the cost of acquisition, after re-assessing the fair values of the net assets and contingent liabilities, the excess is recognised as capital reserve on consolidation.

The interest of non-controlling shareholders may be initially measured either at fair value or at the non-controlling

NOTES

forming part of the consolidated financial statements

2. Material accounting policies (Contd.)

interest's proportionate share of the fair value of the acquiree's identifiable net assets. The choice of measurement basis is made on an acquisition-by-acquisition basis. Subsequent to acquisition, the carrying value of non-controlling interests is the amount of those interests at initial recognition plus the non-controlling interest's share of subsequent changes in equity. Total comprehensive income is attributed to non-controlling interests even if it results in the non-controlling interests having a deficit balance.

Once control has been achieved, any subsequent acquisitions where the Group does not originally hold hundred percent interest in a subsidiary are treated as an acquisition of shares from non-controlling shareholders. The identifiable net assets are not subject to further fair value adjustments and the difference between the cost of acquisition of the non-controlling interest and the net book value of the additional interest acquired is adjusted in equity.

(f) Goodwill

Goodwill is initially recognised as an asset at cost and is subsequently measured at cost less any accumulated impairment losses.

For the purpose of impairment testing, goodwill is allocated to each of the Group's cash-generating units (CGUs) or groups of cash-generating units that are expected to benefit from the synergies of the combination. Cash-generating units to which goodwill has been allocated are tested for impairment annually, or more frequently when there is an indication that the unit's value may be impaired. The recoverable amount of the CGU is higher of fair value less costs to sell and value in use.

The financial projections basis which the future cash flows are estimated consider economic uncertainties, assessment of discount rates, revisiting the growth rates factored while arriving at terminal value and subjecting these variables to sensitivity analysis. If the recoverable amount of the cash-generating unit is less than the carrying value of the unit, the impairment loss is allocated first to reduce the carrying value of any goodwill allocated to the unit and then to the other assets of the unit in proportion to the carrying value of each asset in the unit.

(g) Property, plant and equipment

Property, plant and equipment is stated at cost or deemed cost applied on transition to Ind AS, less accumulated depreciation and impairment. Cost includes all direct costs and expenditures incurred to bring the asset to its working condition and location for its intended use. Trial run expenses are capitalised. Borrowing costs incurred during the period of construction is capitalised as part of cost of qualifying asset.

Depreciation is provided so as to write off, on a straight line basis, the cost/deemed cost of property, plant and equipment to their residual value. These charges are commenced from the dates the assets are available for their intended use and are spread over their estimated useful lives. The estimated useful lives of assets, residual values and depreciation method are reviewed regularly and revised when necessary.

Depreciation on assets under construction commences only when the assets are ready for their intended use.

The estimated useful lives for the main categories of property, plant and equipment are:

	Estimated useful life (years)
Freehold buildings	upto 60 years*
Roads	5 to 10 years*
Plant and machinery	upto 40 years*
Furniture, fixture and office equipments	3 to 25 years*
Vehicles and aircraft	4 to 20 years*
Railway sidings	upto 35 years*
Assets covered under the Electricity Act (life as prescribed under the Electricity Act)	3 to 38 years

Property, plant and equipment are evaluated for recoverability wherever there is any indication that their carrying value may not be recoverable. If any such indication exists, the recoverable amount being the higher of fair value less costs to sell and value in use is determined on an individual asset basis. In cases where the asset does not generate cash flows that are largely independent from other assets, the recoverable amount is determined for the cash-generating unit (CGU) to which the asset belongs. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessment of the time value of money and the risk

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2. Material accounting policies (Contd.)

specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable value of an asset (CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (CGU) is reduced to its recoverable value. An impairment loss is recognised in the consolidated statement of profit and loss.

Major furnace relining expenses are depreciated over a period of 10 years (average expected life).

Freehold land is not depreciated.

*For these class of assets, based on internal assessment and independent technical evaluation carried out by chartered engineers, the Company and some of its subsidiaries believe that the useful lives as given above best represent the period over which the Company expects to use these assets. Hence the useful lives for these assets are different from the useful lives as prescribed under Part C of Schedule II of the Companies Act, 2013.

(h) Exploration for and evaluation of mineral resources

Expenditures associated with search for specific mineral resources are recognised as exploration and evaluation assets. The following expenditure comprises the cost of exploration and evaluation assets:

- › obtaining of the rights to explore and evaluate mineral reserves and resources including costs directly related to this acquisition
- › researching and analysing existing exploration data
- › conducting geological studies, exploratory drilling and sampling
- › examining and testing extraction and treatment methods
- › compiling pre-feasibility and feasibility studies
- › activities in relation to evaluating the technical feasibility and commercial viability of extracting a mineral resource.

Administration and other overhead costs are charged to the cost of exploration and evaluation assets only if directly related to an exploration and evaluation project.

If a project does not prove viable, all irrecoverable exploration and evaluation expenditure associated with the project net of any related impairment allowances is written off to the consolidated statement of profit and loss.

The Group measures its exploration and evaluation assets at cost and classifies as property, plant and equipment or intangible assets according to the nature of the assets acquired and applies the classification consistently. To the extent that a tangible asset is consumed in developing an intangible asset, the amount reflecting that consumption is capitalised as a part of the cost of the intangible asset.

As the capitalised exploration asset is not available for use, it is not depreciated. All exploration and evaluation assets are monitored for indications of impairment. An exploration and evaluation asset is no longer classified as such when the technical feasibility and commercial viability of extracting a mineral resource are demonstrable and the development of the deposit is sanctioned by the management. The carrying value of such exploration and evaluation asset is reclassified to mining assets.

(i) Development expenditure for mineral reserves

Development is the establishment of access to mineral reserves and other preparations for commercial production. Development activities often continue during production and include:

- › sinking shafts and underground drifts (often called mine development)
- › making permanent excavations
- › developing passageways and rooms or galleries
- › building roads and tunnels and
- › advance removal of overburden and waste rock.

Development (or construction) also includes the installation of infrastructure (e.g., roads, utilities and housing), machinery, equipment and facilities.

Development expenditure is capitalised and presented as part of mining assets. No depreciation is charged on the development expenditure before the start of commercial production.

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2. Material accounting policies (Contd.)

(j) Provision for restoration and environmental costs

The Group has liabilities related to restoration of soil and other related works, which are due upon the closure of certain of its mining sites.

Such liabilities are estimated on a case-by-case based on available information, considering applicable local legal requirements. The estimation is made using existing technology, at current prices, and discounted using an appropriate discount rate where the effect of time value of money is material. Future restoration and environmental costs, discounted to net present value, are capitalised and the corresponding restoration liability is raised as soon as the obligation to incur such costs arises. Future restoration and environmental costs are capitalised in property, plant and equipment or mining assets as appropriate and are depreciated over the life of the related asset. The effect of time value of money on the restoration and environmental costs liability is recognised in the consolidated statement of profit and loss.

(k) Stripping costs

The Group separates two different types of stripping costs that are incurred in surface mining activity:

- › developmental stripping costs and
- › production stripping costs

Developmental stripping costs which are incurred in order to obtain access to quantities of mineral reserves that will be mined in future periods are capitalised as part of mining assets.

Capitalisation of developmental stripping costs ends when the commercial production of the mineral reserves begins. A mine can operate several open pits that are regarded as separate operations for the purpose of mine planning and production. In this case, stripping costs are accounted for separately, by reference to the ore extracted from each separate pit. If, however, the pits are highly integrated for the purpose of mine planning and production, stripping costs are aggregated too.

The determination of whether multiple pit mines are considered separate or integrated operations depends on each mine's specific circumstances. The following

factors normally point towards the stripping costs for the individual pits being accounted for separately:

- › mining of the second and subsequent pits is conducted consecutively with that of the first pit, rather than concurrently
- › separate investment decisions are made to develop each pit, rather than a single investment decision being made at the outset
- › the pits are operated as separate units in terms of mine planning and the sequencing of overburden and ore mining, rather than as an integrated unit
- › expenditures for additional infrastructure to support the second and subsequent pits are relatively large
- › the pits extract ore from separate and distinct ore bodies, rather than from a single ore body.

The relative importance of each factor is considered by the management to determine whether, the stripping costs should be attributed to the individual pit or to the combined output from the several pits.

Production stripping costs are incurred to extract the ore in the form of inventories and/or to improve access to an additional component of an ore body or deeper levels of material. Production stripping costs are accounted for as inventories to the extent the benefit from production stripping activity is realised in the form of inventories.

The Group recognises a stripping activity asset in the production phase if, and only if, all of the following are met:

- › it is probable that the future economic benefit (improved access to the ore body) associated with the stripping activity will flow to the Group
- › the Group can identify the component of the ore body for which access has been improved and
- › the costs relating to the improved access to that component can be measured reliably.

Such costs are presented within mining assets. After initial recognition, stripping activity assets are carried at cost/deemed cost, less accumulated amortisation and impairment. The expected useful life of the identified component of the ore body is used to depreciate or amortise the stripping asset.

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2. Material accounting policies (Contd.)

(l) Intangible assets

Patents, trademarks, brand value, software costs and other intangible assets are included in the consolidated balance sheet as intangible assets when it is probable that associated future economic benefits would flow to the Group. In this case they are measured initially at purchase cost and then amortised on a straight-line basis over their estimated useful lives.

	Estimated useful life (years)
Computer software	upto 8 years
Patents and trademarks	4 years
Brand value	25 years
Product and process development costs	5 years
Other intangible assets	1 to 15 years

Subsequent to initial recognition, intangible assets with definite useful lives acquired in a business combination are reported at cost or deemed cost applied on transition to Ind AS, less accumulated amortisation and accumulated impairment losses.

Intangible assets are evaluated for recoverability wherever there is any indication that their carrying value may not be recoverable. If any such indication exists, the recoverable amount being the higher of fair value less costs to sell and value in use is determined on an individual asset basis. In cases where the asset does not generate cash flows that are largely independent from the assets, the recoverable amount is determined for the cash-generating unit (CGU) to which the asset belongs.

If the recoverable value of an asset (CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (CGU) is reduced to its recoverable value. An impairment loss is recognised in the consolidated statement of profit and loss. Intangible assets acquired in a business combination are identified and recognised separately from goodwill where they satisfy the definition of an intangible asset and their fair values can be measured reliably. The cost of such intangible assets is their fair value at the acquisition date.

Mining assets are amortised over the useful life of the mine or lease period whichever is lower. For certain mining assets, where unit of production is considered to be more reflective of the pattern of use, amortisation is done based on unit of production method.

(m) Leases

The Group determines whether an arrangement contains a lease by assessing whether the fulfilment of a transaction is dependent on the use of a specific asset and whether the transaction conveys the right to control the use of that asset to the Group in return for payment.

The Group as lessee

The Group accounts for each lease component within the contract as a lease separately from non-lease components of the contract and allocates the consideration in the contract to each lease component on the basis of the relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components. The Group recognises right-of-use asset representing its right to use the underlying asset for the lease term at the lease commencement date. The cost of the right-of-use asset measured at inception comprises of the amount of initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date.

Certain lease arrangements include options to extend or terminate the lease before the end of the lease term. The right-of-use assets and lease liabilities include these options when it is reasonably certain that such options would be exercised.

The right-of-use assets are subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any, and adjusted for any remeasurement of the lease liability. The right-of-use assets are depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset.

Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the consolidated statement of profit and loss.

Lease liability is measured at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Group uses incremental borrowing rate. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease

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2. Material accounting policies (Contd.)

payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications. The Group recognises the amount of the re-measurement of lease liability as an adjustment to the right-of-use asset. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Group recognises any remaining amount of the re-measurement in the consolidated statement of profit and loss.

Variable lease payments not included in the measurement of the lease liabilities are expensed to the consolidated statement of profit and loss in the period in which the events or conditions which trigger those payments occur.

Payment made towards leases for which non-cancellable term is 12 months or lesser (short-term leases) and low value leases are recognised in the consolidated statement of profit and loss as rental expenses over the tenure of such leases.

The Group as lessor

- (i) **Operating lease** – Rental income from operating leases is recognised in the consolidated statement of profit and loss on a straight-line basis over the term of the relevant lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased asset is diminished. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying value of the leased asset and recognised on a straight-line basis over the lease term.
- (ii) **Finance lease** – When assets are leased out under a finance lease, the present value of minimum lease payments is recognised as a receivable. The difference between the gross receivable and the present value of receivable is recognised as unearned finance income. Lease income is recognised over the term of the lease using the net investment method before tax, which reflects a constant periodic rate of return. Such rate is the interest rate which is implicit in the lease contract.

(n) Financial instruments

Financial assets and financial liabilities are recognised when the Group becomes a party to the contractual provisions of the instrument. Financial assets and liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit and loss) are added to or deducted from the fair value measured on initial recognition of financial asset or financial liability. The transaction costs directly attributable to the acquisition of financial assets and financial liabilities at fair value through profit and loss are immediately recognised in the consolidated statement of profit and loss. Trade receivables that do not contain a significant financing component are measured at transaction price.

(I) Financial assets

Cash and bank balances

Cash and bank balances consist of:

- (i) **Cash and cash equivalents** - which include cash in hand, deposits held at call with banks and other short-term deposits which are readily convertible into known amounts of cash, are subject to an insignificant risk of change in value and have original maturities of less than three months. These balances with banks are unrestricted for withdrawal and usage.
- (ii) **Other bank balances** - which also include balances and deposits with banks that are restricted for withdrawal and usage.

Financial assets at amortised cost

Financial assets are subsequently measured at amortised cost if these financial assets are held within a business model whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

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2. Material accounting policies (Contd.)

Financial assets measured at fair value

Financial assets are measured at fair value through other comprehensive income if such financial assets are held within a business model whose objective is to hold these assets in order to collect contractual cash flows and to sell these financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The Group in respect of certain equity investments (other than in associates and joint ventures) which are not held for trading has made an irrevocable election to present in other comprehensive income subsequent changes in the fair value of such equity instruments. Such an election is made by the Group on an instrument-by-instrument basis at the time of initial recognition of such equity investments. These investments are held for medium or long-term strategic purpose. The Group has chosen to designate these investments in equity instruments as fair value through other comprehensive income as the management believes this provides a more meaningful presentation for medium or long-term strategic investments, than reflecting changes in fair value immediately in the consolidated statement of profit and loss.

Financial assets not measured at amortised cost or at fair value through other comprehensive income are carried at fair value through profit and loss.

Interest income

Interest income is accrued on a time proportion basis, by reference to the principal outstanding and effective interest rate applicable and is recognised in the consolidated statement of profit and loss.

Dividend income

Dividend income from investments is recognised in the consolidated statement of profit and loss when the right to receive payment has been established.

Impairment of financial assets

Loss allowance for expected credit losses is recognised for financial assets measured at

amortised cost and fair value through other comprehensive income.

The Group recognises life time expected credit losses for all trade receivables that do not constitute a financing transaction.

For financial assets (apart from trade receivables that do not constitute a financing transaction) whose credit risk has not significantly increased since initial recognition, loss allowance equal to twelve months expected credit losses is recognised. Loss allowance equal to the lifetime expected credit losses is recognised if the credit risk of the financial asset has significantly increased since initial recognition.

De-recognition of financial assets

The Group de-recognises a financial asset only when the contractual rights to the cash flows from the asset expire, or it transfers the financial asset and substantially all risks and rewards of ownership of the asset to another entity.

If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the assets and an associated liability for amounts it may have to pay.

If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a borrowing for the proceeds received.

(II) Financial liabilities and equity instruments

Classification as debt or equity

Financial liabilities and equity instruments issued by the Group are classified according to the substance of the contractual arrangements entered into and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of the Group after deducting all of its liabilities. Equity instruments

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2. Material accounting policies (Contd.)

are recorded at the proceeds received, net of direct issue costs.

Financial liabilities

Trade and other payables are initially measured at fair value, net of transaction costs, and are subsequently measured at amortised cost, using the effective interest rate method where the time value of money is significant.

Interest bearing bank loans, overdrafts and issued debt are initially measured at fair value and are subsequently measured at amortised cost using the effective interest rate method. Any difference between the proceeds (net of transaction costs) and the settlement or redemption of borrowings is recognised over the term of the borrowings in the consolidated statement of profit and loss.

De-recognition of financial liabilities

The Group de-recognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or they expire.

Derivative financial instruments and hedge accounting

In the ordinary course of business, the Group uses certain derivative financial instruments to reduce business risks which arise from its exposure to foreign exchange, base metal prices and interest rate fluctuations. The instruments are confined principally to forward foreign exchange contracts, forward rate agreements, cross currency swaps, interest rate swaps and collar. The instruments are employed as hedges of transactions included in the consolidated financial statements or for highly probable forecast transactions/firm contractual commitments. These derivative contracts do not generally extend beyond six months, except for certain currency swaps and interest rate derivatives.

Derivatives are initially accounted for and measured at fair value on the date the derivative contract is entered into and are subsequently remeasured to their fair value at the end of each reporting period.

The Group adopts hedge accounting for forward foreign exchange, interest rate and commodity

contracts wherever possible. At the inception of each hedge, there is a formal, documented designation of the hedging relationship. This documentation includes, inter alia, items such as identification of the hedged item and transaction and nature of the risk being hedged. At inception, each hedge is expected to be highly effective in achieving an offset of changes in fair value or cash flows attributable to the hedged risk. The effectiveness of hedge instruments to reduce the risk associated with the exposure being hedged is assessed and measured at the inception and on an ongoing basis. The ineffective portion of designated hedges is recognised immediately in the consolidated statement of profit and loss.

When hedge accounting is applied:

- › for fair value hedges of recognised assets and liabilities, changes in fair value of the hedged assets and liabilities attributable to the risk being hedged, are recognised in the consolidated statement of profit and loss and compensate for the effective portion of symmetrical changes in the fair value of the derivatives.
- › for cash flow hedges, the effective portion of the change in the fair value of the derivative is recognised directly in other comprehensive income and the ineffective portion is recognised in the consolidated statement of profit and loss. If the cash flow hedge of a firm commitment or forecasted transaction results in the recognition of a non-financial asset or liability, then, at the time the asset or liability is recognised, the associated gains or losses on the derivative that had previously been recognised in equity are included in the initial measurement of the asset or liability. For hedges that do not result in the recognition of a non-financial asset or a liability, amounts deferred in equity are recognised in the consolidated statement of profit and loss in the same period in which the hedged item affects the consolidated statement of profit and loss.

In cases where hedge accounting is not applied, changes in the fair value of derivatives are recognised in the consolidated statement of profit and loss as and when they arise.

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2. Material accounting policies (Contd.)

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated, or exercised, or no longer qualifies for hedge accounting. At that time, any cumulative gain or loss on the hedging instrument recognised in equity is retained in equity until the forecasted transaction occurs. If a hedged transaction is no longer expected to occur, the net cumulative gain or loss recognised in equity is transferred to the consolidated statement of profit and loss.

Further details on the Group's financial instruments are set out in note 42, page F248.

(o) Employee benefits

Defined contribution plans

Contributions under defined contribution plans are recognised as an expense for the period in which the employee has rendered service. Payments made to state managed retirement benefit schemes are dealt with as payments to defined contribution schemes where the Group's obligations under the schemes are equivalent to those arising in a defined contribution retirement benefit scheme.

Defined benefit plans

For defined benefit retirement schemes, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuation being carried out at each year-end balance sheet date. Remeasurement gains and losses of the net defined benefit liability/(asset) are recognised immediately in other comprehensive income. The service cost and net interest on the net defined benefit liability/(asset) are recognised as an expense within employee costs.

Past service cost is recognised as an expense when the plan amendment or curtailment occurs or when any related restructuring costs or termination benefits are recognised, whichever is earlier.

The retirement benefit obligations recognised in the consolidated balance sheet represents the present value of the defined benefit obligation as reduced by the fair value of plan assets.

Compensated absences

Liabilities recognised in respect of other long-term employee benefits such as annual leave and sick leave are measured at the present value of the estimated future cash outflows expected to be made by the Group in respect of services provided by employees up to the reporting date using the projected unit credit method with actuarial valuation being carried out at each year end balance sheet date. Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to the consolidated statement of profit and loss in the period in which they arise.

Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related service are recognised based on actuarial valuation.

(p) Inventories

Inventories comprise the followings:

- a) Raw materials,
- b) Work-in-progress,
- c) Finished and semi-finished goods,
- d) Stock-in-trade, and
- e) Stores and spares.

Inventories are recorded at the lower of cost and net realisable value. Cost is ascertained on a weighted average basis. Costs comprise direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the inventories to their present location and condition. Net realisable value is the price at which the inventories can be realised in the normal course of business after allowing for the cost of conversion from their existing state to a finished condition and for the cost of marketing, selling and distribution.

Provisions are made to cover slow moving and obsolete items based on historical experience of utilisation on a product category basis, which involves individual businesses considering their product lines and market conditions.

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2. Material accounting policies (Contd.)

(q) Provisions

Provisions are recognised in the consolidated balance sheet when the Group has a present obligation (legal or constructive) as a result of a past event, which is expected to result in an outflow of resources embodying economic benefits which can be reliably estimated. They also include provisions on decommissioning, site restoration and environmental provisions as well. Each provision is based on the best estimate of the expenditure required to settle the present obligation at the balance sheet date. Where the time value of money is material, provisions are measured on a discounted basis.

Constructive obligation is an obligation that derives from an entity's actions where:

- (i) by an established pattern of past practice, published policies or a sufficiently specific current statement, the entity has indicated to other parties that it will accept certain responsibilities and
- (ii) as a result, the entity has created a valid expectation on the part of those other parties that it will discharge such responsibilities.

(r) Onerous contracts

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract.

(s) Government grants

Government grants are recognised at its fair value, where there is a reasonable assurance that such grants will be received and compliance with the conditions attached therewith have been met.

Government grants related to expenditure on property, plant and equipment are credited to the consolidated statement of profit and loss over the useful lives of qualifying assets or other systematic basis representative of the pattern of fulfilment of obligations associated with

the grant received. Grants received less amounts credited to the consolidated statement of profit and loss at the reporting date are included in the consolidated balance sheet as deferred income.

(t) Income taxes

Tax expense for the year comprises of current and deferred tax. The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the consolidated statement of profit and loss because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates and tax laws that have been enacted or substantively enacted in countries where the Company and its subsidiaries operate by the end of the reporting period.

Deferred tax is the tax expected to be payable or recoverable on differences between the carrying value of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit and is accounted for using the balance sheet liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences. In contrast, deferred tax assets are only recognised to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Deferred tax liabilities are recognised on taxable temporary differences arising on investments in joint ventures and associates, except where the Group is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

The carrying value of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised based on the tax rates and tax laws that have been enacted or substantially enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax

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2. Material accounting policies (Contd.)

consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying value of its assets and liabilities.

Deferred tax assets and liabilities are offset to the extent that they relate to taxes levied by the same tax authority and they are in the same taxable entity, or a Group of taxable entities where the tax losses of one entity are used to offset the taxable profits of another and there are legally enforceable rights to set off current tax assets and current tax liabilities within that jurisdiction.

Current and deferred tax are recognised as an expense or income in the consolidated statement of profit and loss, except when they relate to items credited or debited either in other comprehensive income or directly in equity, in which case the tax is also recognised in other comprehensive income or directly in equity.

(u) Revenue

The Group manufactures and sells a range of steel and other products.

Sale of products

Revenue from sale of products is recognised when control of the products has transferred, being when the products are delivered to the customer. Delivery occurs when the products have been shipped or delivered to the specific location as the case may be, the risk of loss has been transferred, and either the customer has accepted the products in accordance with the sales contract, or the Group has objective evidence that all criteria for acceptance have been satisfied. Sale of products include related ancillary services, if any.

Goods are often sold with volume and price discounts based on aggregate sales over a 12 months period. Revenue from these sales is recognised based on the price specified in the contract, net of the estimated volume and price discounts. Accumulated experience is used to estimate and provide for the discounts, using the most likely method, and revenue is only recognised to the extent that it is highly probable that a significant reversal will not occur. A liability is recognised for

expected volume discounts payable to customers in relation to sales made until the end of the reporting period. No element of financing is deemed present as the sales are generally made with a credit term of 30-90 days, which is consistent with market practice. Any obligation to provide a refund is recognised as a refund liability. A receivable is recognised when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

The Group does not adjust the transaction prices for any time value of money in case of contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer does not exceed one year.

Sale of power and water

Revenue from sale of power and water is recognised when the services are provided to the customer based on approved tariff rates established by the respective regulatory authorities. The Group doesn't recognise revenue and an asset for cost incurred in the past that will be recovered.

(v) Foreign currency transactions and translation

The consolidated financial statements of the Group are presented in Indian Rupee ("₹"), which is the functional currency of the Company and the presentation currency for the consolidated financial statements.

In preparing the consolidated financial statements, transactions in currencies other than the entity's functional currency are recorded at the rates of exchange prevailing on the date of the transaction. At the end of each reporting period, monetary items denominated in foreign currencies are re-translated at the rates prevailing at the end of the reporting period. Non-monetary items carried at fair value that are denominated in foreign currencies are re-translated at the rates prevailing on the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not translated.

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2. Material accounting policies (Contd.)

Exchange differences arising on the re-translation or settlement of other monetary items are included in the consolidated statement of profit and loss for the period.

For the purpose of presenting the consolidated financial statements, the assets and liabilities of the Company's foreign subsidiaries, associates and joint ventures are expressed in "₹" using exchange rates prevailing at the end of the reporting period. Income and expense items are translated at the average exchange rates for the period. Exchange differences arising, if any, are recognised in other comprehensive income and accumulated in a separate component of equity. On the disposal of a foreign operation, all of the accumulated exchange differences in respect of that operation attributable to the Company are reclassified to the consolidated statement of profit and loss.

Goodwill and fair value adjustments arising on the acquisition of a foreign operation are treated as assets and liabilities of the foreign operation and translated at the closing rate.

(w) Recent Accounting Pronouncements

Ministry of Corporate Affairs ("MCA") has notified amendments to the existing standards Ind AS 1 – Presentation of financial statements relating to classification of liabilities as current or non-current subject to covenants, Ind AS 12 – Income Taxes relating to international tax reforms – Pillar Two Model Rules, Ind AS 21 – the effect of changes in foreign exchange rates and Ind AS 107 – Financial Instruments: Disclosures and Ind AS 7 - Statement of Cash flows relating to disclosure of supplier financing arrangements, applicable from April 1, 2025. The Group has assessed that there is no significant impact on its financial statements with respect to the amendments in Ind AS 1, Ind AS 21 and Ind AS 12. The Group has evaluated and provided disclosure with respect to supplier financing arrangement in note 27, page F214.

NOTES

forming part of the consolidated financial statements

3. Property, plant and equipment

[Item No. I(a) and I(b), Page F142]

(₹ crore)

	Land including roads	Buildings	Plant and machinery	Furniture, fixtures and office equipments (FFOE)	Vehicles and aircraft	Railway sidings	Total
Cost/deemed cost as at April 1, 2025	18,928.44	29,806.31	1,76,972.73	1,282.97	393.45	1,889.56	2,29,273.46
Addition relating to acquisitions	253.57	561.25	3,340.79	15.39	4.24	-	4,175.24
Additions	150.34	2,692.69	23,104.29	123.96	3.39	424.85	26,499.52
Disposals	(54.83)	(237.37)	(1,791.66)	(51.88)	(15.04)	(1.35)	(2,152.13)
Disposal of group undertakings	(0.03)	(3.97)	(6.54)	(0.89)	(0.01)	-	(11.44)
Other-reclassifications	119.19	(662.60)	1,416.80	5.23	(0.23)	-	878.39
Exchange differences on consolidation	610.57	1,509.45	12,161.93	10.68	1.77	71.15	14,365.55
Cost/deemed cost as at March 31, 2026	20,007.25	33,665.76	2,15,198.34	1,385.46	387.57	2,384.21	2,73,028.59
Accumulated impairment as at April 1, 2025	324.11	362.21	7,635.47	3.96	1.38	21.05	8,348.18
Charge for the year	0.05	43.20	7.78	-	-	-	51.03
Disposals	(0.02)	(0.22)	(3.11)	-	-	-	(3.35)
Other-reclassifications	122.60	6.62	47.15	-	-	-	176.37
Exchange differences on consolidation	48.89	55.87	1,074.79	0.50	-	2.86	1,182.91
Accumulated impairment as at March 31, 2026	495.63	467.68	8,762.08	4.46	1.38	23.91	9,755.14
Accumulated depreciation as at April 1, 2025	1,316.76	11,251.58	81,079.69	1,000.16	253.23	808.69	95,710.11
Addition relating to acquisitions	-	58.43	846.30	4.73	0.43	-	909.89
Charge for the year	96.29	1,048.25	8,818.34	130.76	17.37	81.12	10,192.13
Disposals	-	(133.90)	(1,322.51)	(48.51)	(13.80)	(1.22)	(1,519.94)
Disposal of group undertakings	-	(0.19)	(0.63)	(0.69)	-	-	(1.51)
Other-reclassifications	18.86	(814.44)	735.30	(5.79)	2.06	4.19	(59.82)
Exchange differences on consolidation	28.67	1,027.33	7,060.56	3.08	0.79	43.95	8,164.38
Accumulated depreciation as at March 31, 2026	1,460.58	12,437.06	97,217.05	1,083.74	260.08	936.73	1,13,395.24
Total accumulated depreciation and impairment as at March 31, 2026	1,956.21	12,904.74	1,05,979.13	1,088.20	261.46	960.64	1,23,150.38
Net carrying value as at April 1, 2025	17,287.57	18,192.52	88,257.57	278.85	138.84	1,059.82	1,25,215.17
Net carrying value as at March 31, 2026	18,051.04	20,761.02	1,09,219.21	297.26	126.11	1,423.57	1,49,878.21

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forming part of the consolidated financial statements

3. Property, plant and equipment (Contd.)

[Item No. I(a) and I(b), Page F142]

(₹ crore)

	Land including roads	Buildings	Plant and machinery	Furniture, fixtures and office equipments (FEOE)	Vehicles and aircraft	Railway sidings	Total
Cost/deemed cost as at April 1, 2024	18,670.57	28,095.96	1,66,405.07	1,221.28	422.32	1,871.67	2,16,686.87
Additions	89.45	1,116.36	8,834.45	119.31	8.36	3.41	10,171.34
Disposals	(12.27)	(20.13)	(805.46)	(75.31)	(38.40)	-	(951.57)
Other re-classifications	68.28	340.35	408.59	(0.02)	0.40	-	817.60
Exchange differences on consolidation	112.41	273.77	2,130.08	17.71	0.77	14.48	2,549.22
Cost/deemed cost as at March 31, 2025	18,928.44	29,806.31	1,76,972.73	1,282.97	393.45	1,889.56	2,29,273.46
Accumulated impairment as at April 1, 2024	24.17	333.74	7,222.12	3.79	1.38	20.05	7,605.25
Charge for the year	56.62	14.44	104.55	-	-	-	175.61
Disposals	-	-	(45.04)	-	-	-	(45.04)
Other re-classifications	233.96	-	8.97	-	-	-	242.93
Exchange differences on consolidation	9.36	14.03	344.87	0.17	-	1.00	369.43
Accumulated impairment as at March 31, 2025	324.11	362.21	7,635.47	3.96	1.38	21.05	8,348.18
Accumulated depreciation as at April 1, 2024	1,427.17	9,747.12	72,424.64	947.29	265.55	731.71	85,543.48
Charge for the year	102.59	1,029.30	7,705.50	119.24	21.77	68.47	9,046.87
Disposals	-	(12.73)	(506.58)	(75.75)	(33.13)	-	(628.19)
Other re-classifications	(225.80)	306.70	274.59	(5.50)	(1.65)	-	348.34
Exchange differences on consolidation	12.80	181.19	1,181.54	14.88	0.69	8.51	1,399.61
Accumulated depreciation as at March 31, 2025	1,316.76	11,251.58	81,079.69	1,000.16	253.23	808.69	95,710.11
Total accumulated depreciation and impairment as at March 31, 2025	1,640.87	11,613.79	88,715.16	1,004.12	254.61	829.74	1,04,058.29
Net carrying value as at April 1, 2024	17,219.23	18,015.10	86,758.31	270.20	155.39	1,119.91	1,23,538.14
Net carrying value as at March 31, 2025	17,287.57	18,192.52	88,257.57	278.85	138.84	1,059.82	1,25,215.17

NOTES

forming part of the consolidated financial statements

3. Property, plant and equipment (Contd.)

[Item No. I(a) and I(b), Page F142]

- (i) Net carrying value of furniture, fixtures and office equipment comprises of:

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
Furniture and fixtures		
Cost/deemed cost	321.40	311.91
Accumulated depreciation and impairment	247.18	244.98
	74.22	66.93
Office equipments		
Cost/deemed cost	1,064.06	971.07
Accumulated depreciation and impairment	841.02	759.15
	223.04	211.92
	297.26	278.85

- (ii) Borrowing costs has been capitalised (refer note 31, page F218) during the year against qualifying assets under construction using a capitalisation rate ranging between **2.59% to 10.46%** (2024-25: 4.97% to 11.05%).
- (iii) During the year ended March 31, 2026, the Group considered indicators of impairment such as decline in operational performance, changes in the outlook of future profitability among other potential indicators etc for its cash generating units ('CGUs') within the steel, mining and other business operations. In respect of CGUs where indicators of impairment were identified, the Group estimated the recoverable amount based on the higher of value in use or fair value less cost to sell.

The outcome of the assessment as on March 31, 2026 resulted in the Group recognising an impairment of **₹323.77** crore (2024-25: ₹233.89 crore) for property, plant and equipment including capital work-in-progress. The impairment charge for the year relates to specific assets within the Group's European, Canadian and Indian operations, the details of which is provided below.

With respect to CGUs within the European operations, an impairment charge of **₹62.77** crore (2024-25: ₹233.89 crore) has been recognised within exceptional items in the consolidated statement of profit and loss.

Within the Canadian operations, the Group has recognised an impairment charge of **₹50.29** crore (2024-25: Nil) which is included within exceptional items in the consolidated statement of profit and loss.

Within the Indian operations, the Group has recognised an impairment charge of **₹210.71** crore (2024-25: Nil) which is included within exceptional items in the consolidated statement of profit and loss.

The Group's European operations comprise two CGUs, Tata Steel UK Limited (TSUK) and Tata Steel Netherland (TSN). The key assumptions for the fair value model of TSN relates to expected changes to selling prices and raw material & conversion costs, EU steel demand, energy costs, transformation programme with improvement initiatives/cost rationalisation (including employee cost), exchange rates, the amount of capital expenditure needed for decarbonisation, changes to EBITDA resulting from producing and selling steel with low embedded CO₂ emissions, levels of government support for decarbonisation, phasing of decommissioning of legacy assets as well as the commissioning of new low CO₂ production facilities, tariff regimes and discount rates. The projections are based on both the past performance and the expectations of future performance

NOTES

forming part of the consolidated financial statements

3. Property, plant and equipment (Contd.)

[Item No. I(a) and I(b), Page F142]

assumptions therein. The Group estimates discount rates using post-tax rates that reflect the current market rates adjusted to reflect the way the European Union steel market would assess the specific risk. The weighted average post-tax discount rates used for discounting the cash flows projections is **8.15%** (March 31, 2025: 8.20%). Beyond the specifically forecasted period, a growth rate in the range of **2.00%** (March 31, 2025: 2.00%) is used to extrapolate the cash flow projections. This rate does not exceed the average long-term growth rate for the relevant markets. The outcome of the assessment of TSN as on March 31, 2026 has not resulted in any impairment other than those in respect of specific assets as mentioned above which are no longer expected to be used considering the Group's decarbonisation and restructuring plan. Also refer note 51, page F265.

In respect of TSUK, the key assumptions for the fair value model are majorly similar to TSN. The weighted average post-tax discount rates used for discounting the cash flows projections is **9.94%** (March 31, 2025: 9.56%). Beyond the specifically forecasted period, a growth rate of **Nil** (March 31, 2025: Nil) is used to extrapolate the cash flow projections. The outcome of the assessment of TSUK as on March 31, 2026 has not resulted in any impairment other than those in respect of specific assets as mentioned above which are no longer expected to be used considering the Group's decarbonisation and restructuring plan.

The Group has conducted sensitivity analysis on the impairment tests of the carrying value in respect of Group's CGUs. The Group believes that no reasonably possible change in any of the key assumptions used in the model would cause the carrying value to materially exceed its recoverable value.

- (iv) Details of property, plant and equipment pledged against borrowings is presented in note 22, page F204.
- (v) Net additions to capital work-in-progress during the year is **₹12,494.06** crore (2024-25: ₹16,450.85 crore)
- (vi) Ageing of capital work-in-progress is as follows:

As at March 31, 2026

(₹ crore)

	Amount in capital work-in-progress for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	11,729.69	5,531.16	3,002.38	6,848.85	27,112.08
Projects temporarily suspended	-	26.01	11.42	360.78	398.21
Total	11,729.69	5,557.17	3,013.80	7,209.63	27,510.29

As at March 31, 2025

(₹ crore)

	Amount in capital work-in-progress for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	18,244.32	10,679.13	6,129.23	5,198.28	40,250.96
Projects temporarily suspended	-	2.56	157.20	191.16	350.92
Total	18,244.32	10,681.69	6,286.43	5,389.44	40,601.88

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forming part of the consolidated financial statements

3. Property, plant and equipment (Contd.)

[Item No. I(a) and I(b), Page F142]

(vii) The expected completion of amounts lying in capital work in progress which are overdue is as below:

As at March 31, 2026

(₹ crore)

	Amount of capital work-in-progress to be completed in			
	Less than 1 year	1-2 years	2-3 years	More than 3 years
Projects in progress:				
Tata Steel India:				
Growth projects	13,400.74	173.61	42.23	-
Raw material augmentation	143.20	92.64	598.01	-
Environment, safety and compliance	788.56	12.88	-	0.73
Sustenance projects	2,240.08	701.63	107.30	403.51
	16,572.58	980.76	747.54	404.24
Tata Steel UK Operations:				
Growth projects	-	-	-	-
Raw material augmentation	44.57	-	-	-
Sustenance projects	-	-	-	1,928.30
	44.57	-	-	1,928.30
Tata Steel Netherland Operations:				
Growth projects	-	-	-	-
Environment, safety and compliance	17.81	-	-	-
Sustenance projects	2.54	22.57	-	-
	20.35	22.57	-	-
Neelachal Ispat Nigam Limited				
Sustenance projects	44.62	29.39	-	0.14
	44.62	29.39	-	0.14
	16,682.12	1,032.72	747.54	2,332.68
Projects temporarily suspended:				
Tata Steel Netherland Operations:				
Sustenance projects	-	-	11.43	312.03
	-	-	11.43	312.03

NOTES

forming part of the consolidated financial statements

3. Property, plant and equipment (Contd.)

[Item No. I(a) and I(b), Page F142]

As at March 31, 2025

(₹ crore)

	Amount of capital work-in-progress to be completed in			
	Less than 1 year	1-2 years	2-3 years	More than 3 years
Projects in progress:				
Tata Steel India:				
Growth projects	20,355.94	1,893.08	1,026.40	-
Raw material augmentation	3,538.99	-	-	-
Environment, safety and compliance	850.68	185.57	-	-
Sustenance projects	3,265.94	1,462.01	3.13	13.15
	28,011.55	3,540.66	1,029.53	13.15
Tata Steel UK Operations:				
Growth projects	228.34	-	-	-
Raw material augmentation	-	-	-	-
Sustenance projects	-	-	-	-
	228.34	-	-	-
Neelachal Ispat Nigam Limited				
Sustenance projects	70.55	2.36	-	126.84
	70.55	2.36	-	126.84
	28,310.44	3,543.02	1,029.53	139.99
Projects temporarily suspended:				
Tata Steel Netherland Operations:				
Sustenance projects	-	-	-	-
	-	-	-	-

The Group in the earlier years had prioritised its strategic objective of deleveraging balance sheet over the planned investments in organic growth projects which resulted in lower capital expenditure on projects as compared to the original plan as approved by the Board of Directors of the Company.

Following the rebalancing of capital structure and the Company attaining an investment grade credit rating, the capital allocation for organic growth projects has been increased and the Group expects to commission these facilities in line with their revised completion schedules.

NOTES

forming part of the consolidated financial statements

4. Right-of-use assets

[Item No. I(c), Page F142]

(₹ crore)

	Right-of-use Land	Right-of-use Buildings	Right-of-use Plant and Machinery	Right-of-use furniture, fixtures and office equipments	Right-of-use vehicles	Total right-of- use assets
Cost as at April 1, 2025	3,370.81	2,013.10	9,142.46	15.27	436.55	14,978.19
Addition relating to acquisitions	274.43	10.32	669.94	-	-	954.69
Additions	4.86	1,170.38	1,162.40	27.21	158.54	2,523.39
Disposals	(23.06)	(174.98)	(927.93)	(1.74)	(53.98)	(1,181.69)
Disposal of group undertakings	-	(0.96)	-	-	-	(0.96)
Other re-classifications	(2.35)	(9.16)	(725.68)	(1.51)	0.20	(738.50)
Exchange differences on consolidation	26.59	322.88	392.72	3.91	49.60	795.70
Cost as at March 31, 2026	3,651.28	3,331.58	9,713.91	43.14	590.91	17,330.82
Accumulated impairment as at April 1, 2025	-	414.48	243.63	0.25	2.58	660.94
Charge for the year	-	-	-	-	(1.46)	(1.46)
Disposals	-	-	(266.48)	-	-	(266.48)
Other re-classifications	-	-	32.98	-	1.46	34.44
Exchange differences on consolidation	-	57.41	14.15	0.05	0.32	71.93
Accumulated impairment as at March 31, 2026	-	471.89	24.28	0.30	2.90	499.37
Accumulated depreciation as at April 1, 2025	430.30	1,138.77	4,448.96	3.37	207.90	6,229.30
Addition relating to acquisitions	1.98	-	-	-	-	1.98
Charge for the year	61.00	149.16	863.73	7.68	109.30	1,190.87
Disposals	(3.91)	(155.78)	(701.53)	(1.74)	(44.14)	(907.10)
Disposal of group undertakings	-	(0.25)	-	-	-	(0.25)
Other re-classifications	1.87	(40.60)	(37.10)	11.36	(14.40)	(78.87)
Exchange differences on consolidation	7.51	139.84	148.68	1.65	25.18	322.86
Accumulated depreciation as at March 31, 2026	498.75	1,231.14	4,722.74	22.32	283.84	6,758.79
Total accumulated depreciation and impairment as at March 31, 2026	498.75	1,703.03	4,747.02	22.62	286.74	7,258.16
Net carrying value as at April 1, 2025	2,940.51	459.85	4,449.87	11.65	226.07	8,087.95
Net carrying value as at March 31, 2026	3,152.53	1,628.55	4,966.89	20.52	304.17	10,072.66

NOTES

forming part of the consolidated financial statements

4. Right-of-use assets (Contd.)

[Item No. I(c), Page F142]

(₹ crore)

	Right-of-use Land	Right-of-use Buildings	Right-of-use Plant and Machinery	Right-of-use furniture, fixtures and office equipments	Right-of-use vehicles	Total right-of- use assets
Cost as at April 1, 2024	3,396.30	2,076.60	8,705.74	16.87	371.19	14,566.70
Additions	3.83	51.94	1,220.04	0.09	101.89	1,377.79
Disposals	(3.49)	(13.14)	(865.54)	(0.19)	(45.83)	(928.19)
Other re-classifications	(42.06)	(182.64)	(1.04)	(1.95)	(0.12)	(227.81)
Exchange differences on consolidation	16.23	80.34	83.26	0.45	9.42	189.70
Cost as at March 31, 2025	3,370.81	2,013.10	9,142.46	15.27	436.55	14,978.19
Accumulated impairment as at April 1, 2024	-	395.42	238.73	0.25	2.57	636.97
Other re-classifications	-	-	(6.68)	-	-	(6.68)
Exchange differences on consolidation	-	19.06	11.58	-	0.01	30.65
Accumulated impairment as at March 31, 2025	-	414.48	243.63	0.25	2.58	660.94
Accumulated depreciation as at April 1, 2024	366.78	1,164.37	4,644.88	4.05	163.76	6,343.84
Charge for the year	60.95	113.43	658.78	0.38	80.72	914.26
Disposals	(1.67)	(13.39)	(864.71)	(0.19)	(40.15)	(920.11)
Other re-classifications	0.78	(170.27)	(31.89)	(1.02)	(1.32)	(203.72)
Exchange differences on consolidation	3.46	44.63	41.90	0.15	4.89	95.03
Accumulated depreciation as at March 31, 2025	430.30	1,138.77	4,448.96	3.37	207.90	6,229.30
Total accumulated depreciation and impairment as at March 31, 2025	430.30	1,553.25	4,692.59	3.62	210.48	6,890.24
Net carrying value as at April 1 2024	3,029.52	516.81	3,822.13	12.57	204.86	7,585.89
Net carrying value as at March 31, 2025	2,940.51	459.85	4,449.87	11.65	226.07	8,087.95

- (i) The Group's significant leasing arrangements relate to assets specifically set up for dedicated use by the Group under long term arrangements and time charter of vessels. Other leases include land, office space, equipment, vehicles and some IT equipment.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. Each lease generally imposes a restriction that, unless there is a contractual right for the Group to sublet the asset to another party, the right-of-use asset can only be used by the Group. Extension and termination options are included in some property and equipment leases. These are used to maximise operational flexibility in terms of managing the assets used in the Group's operations. Majority of the extension and termination options held are exercisable based on mutual agreement of the Group and the lessor.

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forming part of the consolidated financial statements

4. Right-of-use assets (Contd.)

[Item No. I(c), Page F142]

With the exception of short-term leases and leases of low-value underlying assets, each lease is reflected on the balance sheet as a right-of-use asset and a lease liability. Payments made for short term leases and leases of low value are expensed on a straight-line basis over the lease term.

Variable lease payments which do not depend on an index or a rate (such as lease payments based on a percentage of sales) are excluded from the initial measurement of the lease liability and asset.

For leases recognised under long term arrangements involving use of a dedicated asset, non-lease components are excluded based on the underlying contractual terms and conditions. A change in the allocation assumptions may have an impact on the measurement of lease liabilities and the related right-of-use assets.

During the year ended March 31, 2026, the Group has recognised the following in the consolidated statement of profit and loss:

- (i) expense in respect of short-term leases and leases of low-value assets **₹24.31** crore (2024-25: ₹218.11 crore) and **₹35.74** crore (2024-25: ₹41.60 crore) respectively.
- (ii) expense in respect of variable lease payments not included in the measurement of lease liabilities **₹297.35** crore (2024-25: ₹268.73 crore).
- (iii) income in respect of sub-leases of right-of-use assets **₹0.04** crore (2024-25: ₹0.06 crore).

During the year ended March 31, 2026, total cash outflow in respect of leases amounted to **₹2,098.37** crore (2024-25: ₹2,064.44 crore).

During the year ended March 31, 2026, the Company has sold an Air Separation Unit for a consideration of **₹575** crore. Simultaneously, the Company has entered into a lease arrangement with respect to such Air Separation Unit. No gain/loss has been recorded in respect of such sale and leaseback transaction.

As at March 31, 2026, commitments for leases not yet commenced was **Nil** (March 31, 2025: ₹5.28 crore).